

CONTURA ENERGY, INC.



CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE THREE MONTHS ENDED MARCH 31, 2018

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Contura Energy, Inc.

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State of incorporation: Delaware

I.R.S. Employer Identification Number: 81-3015061

Number of shares of Common Stock, \$0.01 par value, outstanding as of March 31, 2018: 9,853,834.

The contents of these Condensed Consolidated Financial Statements and Report for the three months ended March 31, 2018 should not be construed as investment, legal or tax advice. This report is being prepared pursuant to contractual arrangements and is not required by any rules or regulations of, and is not being filed with, the U.S. Securities and Exchange Commission ("SEC") or any other securities regulatory authority of any country, state or any other relevant jurisdiction, nor has the SEC or any other authority or commission passed upon the accuracy or adequacy of this report. Contura Energy, Inc. continues to develop its disclosure controls and procedures and internal control over financial reporting.

Statements contained herein describing documents and agreements are summaries only and are qualified in their entirety by reference to the corresponding documents and agreements.

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Financial Statements

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)
(Amounts in thousands, except share and per share data)

	Three Months Ended March 31,	
	2018	2017
Revenues:		
Coal revenues	\$ 478,365	\$ 413,038
Freight and handling revenues	—	60,223
Other revenues	3,967	1,858
Total revenues	482,332	475,119
Costs and expenses:		
Cost of coal sales (exclusive of items shown separately below)	297,538	284,405
Freight and handling costs	75,666	60,223
Depreciation, depletion and amortization	11,588	8,849
Amortization of acquired intangibles, net	10,206	19,658
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	19,157	13,829
Merger related costs	460	—
Secondary offering costs	—	942
Total other operating (income) loss:		
Mark-to-market adjustment for acquisition-related obligations	—	(4,357)
Gain on settlement of acquisition-related obligations	(292)	—
Other expenses	193	—
Total costs and expenses	414,516	383,549
Income from operations	67,816	91,570
Other income (expense):		
Interest expense	(9,205)	(11,276)
Interest income	131	31
Loss on early extinguishment of debt	—	(38,701)
Miscellaneous income, net	(376)	(1,186)
Total other expense, net	(9,450)	(51,132)
Income from continuing operations before income taxes	58,366	40,438
Income tax expense	(66)	(9,482)
Net income from continuing operations	58,300	30,956
Discontinued operations:		
(Loss) income from discontinued operations before income taxes	(1,359)	5,019
Income tax expense from discontinued operations	—	(865)
(Loss) income from discontinued operations	(1,359)	4,154
Net income	\$ 56,941	\$ 35,110
Basic income (loss) per common share:		
Income from continuing operations	\$ 6.11	\$ 3.00
(Loss) income from discontinued operations	(0.15)	0.41
Net income	\$ 5.96	\$ 3.41

Diluted income (loss) per common share

Income from continuing operations	\$	5.66	\$	2.89
(Loss) income from discontinued operations		(0.13)		0.38
Net income	\$	5.53	\$	3.27

Weighted average shares - basic	9,548,613	10,309,428
Weighted average shares - diluted	10,292,607	10,728,281

See accompanying Notes to Condensed Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (Unaudited)
(Amounts in thousands)

	Three Months Ended March 31,	
	2018	2017
Net income	\$ 56,941	\$ 35,110
Other comprehensive income (loss), net of tax:		
Employee benefit plans:		
Amortization of and adjustments to employee benefit costs	\$ 37	\$ (71)
Income tax	—	—
Total other comprehensive income (loss), net of tax	\$ 37	\$ (71)
Total comprehensive income	<u>\$ 56,978</u>	<u>\$ 35,039</u>

See accompanying Notes to Condensed Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)
(Amounts in thousands, except share and per share data)

	March 31, 2018	December 31, 2017
Assets		
Current assets:		
Cash and cash equivalents	\$ 72,076	\$ 141,924
Trade accounts receivable, net of allowance for doubtful accounts of \$0 as of March 31, 2018 and December 31, 2017	227,460	127,326
Inventories, net	96,612	69,561
Assets held for sale	171	171
Short-term restricted cash	11,618	11,615
Short-term deposits	22,353	12,366
Prepaid expenses and other current assets	52,102	59,693
Current assets - discontinued operations	32,175	40,498
Total current assets	514,567	463,154
Property, plant, and equipment, net	198,051	196,579
Other acquired intangibles, net of accumulated amortization of \$21,918 and \$28,662 as of March 31, 2018 and December 31, 2017	8,252	18,458
Long-term restricted cash	42,274	40,421
Long-term deposits	3,607	3,607
Deferred income taxes	78,744	78,744
Other non-current assets	30,985	28,005
Non-current assets - discontinued operations	7,632	7,632
Total assets	\$ 884,112	\$ 836,600
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	\$ 10,426	\$ 10,730
Trade accounts payable	86,479	76,319
Acquisition-related obligations - current	13,788	15,080
Liabilities held for sale	28,041	27,161
Accrued expenses and other current liabilities	61,430	58,771
Current liabilities - discontinued operations	31,934	54,114
Total current liabilities	232,098	242,175
Long-term debt	361,526	361,973
Acquisition-related obligations - long-term	19,307	20,332
Asset retirement obligations	53,981	52,434
Other non-current liabilities	60,169	59,276
Non-current liabilities - discontinued operations	7,761	7,762
Total liabilities	734,842	743,952
Commitments and Contingencies (Note 16)		
Stockholders' Equity		
Preferred stock - par value \$0.01, 2.0 million shares authorized, none issued	—	—
Common stock - par value \$0.01, 20.0 million shares authorized, 10.8 million issued and 9.9 million outstanding at March 31, 2018 and 10.7 million issued and 9.9 million outstanding at December 31, 2017	108	108
Additional paid-in capital	45,095	40,616
Accumulated other comprehensive loss	(1,911)	(1,948)

Treasury stock, at cost: 0.9 million shares at March 31, 2018 and 0.8 million shares at December 31, 2017

	(54,927)	(50,092)
Retained earnings	160,905	103,964
Total stockholders' equity	149,270	92,648
Total liabilities and stockholders' equity	\$ 884,112	\$ 836,600

See accompanying Notes to Condensed Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)
(Amounts in thousands)

	Three Months Ended March 31,	
	2018	2017
Operating activities:		
Net income	\$ 56,941	\$ 35,110
Adjustments to reconcile net income to net cash (used in) provided by operating activities:		
Depreciation, depletion and amortization	11,588	16,931
Amortization of acquired intangibles, net	10,206	19,658
Accretion of acquisition-related obligations discount	1,475	2,413
Amortization of debt issuance costs and accretion of debt discount	744	722
Mark-to-market adjustment for acquisition-related obligations	—	(4,357)
Gain on settlement of acquisition-related obligations	(292)	—
Accretion of asset retirement obligations	2,460	5,525
Employee benefit plans, net	2,700	1,178
Loss on early extinguishment of debt	—	13,665
Stock-based compensation	4,811	1,431
Other, net	176	1,064
Changes in operating assets and liabilities	(121,144)	48,853
Net cash (used in) provided by operating activities	(30,335)	142,193
Investing activities:		
Capital expenditures	(19,441)	(12,878)
Prepayment on sale of property	(10,000)	—
Purchase of additional ownership interest in equity affiliate	—	(13,293)
Other, net	(1,907)	(930)
Net cash used in investing activities	(31,348)	(27,101)
Financing activities:		
Proceeds from borrowings on debt	—	396,000
Principal repayments of debt	(1,000)	(356,500)
Principal repayments of capital lease obligations	(56)	(223)
Debt issuance costs	—	(10,389)
Debt extinguishment costs	—	(25,036)
Common stock repurchases and related expenses	(4,835)	—
Principal repayments of notes payable	(418)	(305)
Net cash (used in) provided by financing activities	(6,309)	3,547
Net (decrease) increase in cash and cash equivalents and restricted cash	(67,992)	118,639
Cash and cash equivalents and restricted cash at beginning of period	193,960	171,289
Cash and cash equivalents and restricted cash at end of period	<u>\$ 125,968</u>	<u>\$ 289,928</u>
Supplemental cash flow information:		
Cash paid for interest	<u>\$ 6,463</u>	<u>\$ 20,627</u>
Cash received for income tax refunds	<u>\$ 13,457</u>	<u>\$ —</u>
Supplemental disclosure of non-cash investing and financing activities:		
Capital leases and capital financing - equipment	<u>\$ 128</u>	<u>\$ 147</u>
Accrued capital expenditures	<u>\$ 3,076</u>	<u>\$ 7,799</u>

The following table provides a reconciliation of cash and cash equivalents and restricted cash reported within the Condensed Consolidated Balance Sheets that sum to the total of the same such amounts shown in the Condensed Consolidated Statements of Cash Flows.

	Three Months Ended March 31,	
	2018	2017
Cash and cash equivalents	\$ 72,076	\$ 240,607
Short-term restricted cash	11,618	—
Long-term restricted cash	42,274	49,321
Total cash and cash equivalents and restricted cash shown in the Condensed Consolidated Statements of Cash Flows	<u>\$ 125,968</u>	<u>\$ 289,928</u>

See accompanying Notes to Condensed Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY (Unaudited)
(Amounts in thousands)

	<u>Common Stock Amount</u>	<u>Additional Paid-in Capital</u>	<u>Accumulated Other Comprehensive Income (Loss)</u>	<u>Treasury Stock at Cost Amount</u>	<u>(Accumulated Deficit) Retained Earnings</u>	<u>Total Stockholders' Equity</u>
Balances, December 31, 2016	\$ 103	\$ 45,964	\$ 2,087	\$ —	\$ (10,930)	\$ 37,224
Retrospective warrants adjustment	—	1,166	—	—	33,975	35,141
Net income	—	—	—	—	35,110	35,110
Other comprehensive loss, net	—	—	(71)	—	—	(71)
Stock-based compensation and net issuance of common stock for share vesting	4	1,427	—	—	—	1,431
Warrant exercises	—	14	—	(1)	—	13
Balances, March 31, 2017	\$ 107	\$ 48,571	\$ 2,016	\$ (1)	\$ 58,155	\$ 108,848
Balances, December 31, 2017	\$ 108	\$ 40,616	\$ (1,948)	\$ (50,092)	\$ 103,964	\$ 92,648
Net income	—	—	—	—	56,941	56,941
Other comprehensive income, net	—	—	37	—	—	37
Stock-based compensation and net issuance of common stock for share vesting	—	4,479	—	—	—	4,479
Common stock repurchases and related expenses	—	—	—	(4,835)	—	(4,835)
Balances, March 31, 2018	\$ 108	\$ 45,095	\$ (1,911)	\$ (54,927)	\$ 160,905	\$ 149,270

See accompanying Notes to Condensed Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

(1) Business and Basis of Presentation

Business

Contura Energy, Inc. (“Contura”, the “Company”, “we” or “us”) is a Tennessee-based coal supplier with affiliate mining operations across major coal basins in Pennsylvania, Virginia and West Virginia. With customers across the globe, high-quality reserves and significant port capacity, Contura reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. Contura was formed to acquire and operate certain of Alpha Natural Resources, Inc.’s (“Alpha”) core coal operations, as part of the Alpha Restructuring. Contura began operations on July 26, 2016 and currently operates mining complexes in the Northern Appalachia (Cumberland mine complex) and Central Appalachian (the Nicholas mine complex in West Virginia, and the McClure and Toms Creek mine complexes in Virginia) regions.

Basis of Presentation

Together, the condensed consolidated statement of operations, statement of comprehensive income, balance sheet, statement of cash flows and statement of stockholders’ equity for the Company are referred to as the “Financial Statements.” The Financial Statements are also referred to as consolidated and references across periods are generally labeled “Balance Sheets,” “Statements of Operations,” and “Statements of Cash Flows.”

The Condensed Consolidated Financial Statements include all wholly-owned subsidiaries’ results of operations for the three months ended March 31, 2018 and 2017. All significant intercompany transactions have been eliminated in consolidation.

On December 8, 2017, the Company closed a transaction with Blackjewel L.L.C. (“Buyer”) to sell the Eagle Butte and Belle Ayr mines located in the Powder River Basin (“PRB”), Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. The historical information in the accompanying Notes to the Condensed Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Condensed Consolidated Financial Statements. See Note 2 for further information on discontinued operations.

The accompanying Condensed Consolidated Financial Statements have been prepared in accordance with accounting principles generally accepted in the United States (“U.S. GAAP”). Results of operations for the three months ended March 31, 2018 are not necessarily indicative of the results to be expected for the year ending December 31, 2018 or any other period. These interim Condensed Consolidated Financial Statements should be read in conjunction with the Company’s Consolidated Financial Statements and related notes for the year ended December 31, 2017.

New Accounting Pronouncements

Revenue Recognition: In May 2014, the Financial Accounting Standards Board (“FASB”) issued ASU 2014-09, *Revenue from contracts with customers* (Topic 606), which, along with amendments issued in 2015 and 2016, will replace substantially all current U.S. GAAP guidance on this topic and eliminate industry-specific guidance. In addition, the standard requires disclosure of the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers. The guidance permits two methods of adoption: full retrospective method (retrospective application to each prior reporting period presented) or modified retrospective method (retrospective application with the cumulative effect of initially applying the guidance recognized at the date of initial application and providing certain additional disclosures). The Company adopted ASU 2014-09 as of January 1, 2018, using the modified retrospective method. The Company applied the guidance only to contracts that were not completed as of the date of adoption, with no cumulative adjustment to retained earnings as a result of the adoption of this guidance. Additionally, subsequent to adoption, freight and handling revenues are now classified within coal revenues. The following table summarizes the impact of the adoption of ASC 606 to the Company’s Condensed Consolidated Statements of Operations:

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

	Three Months Ended March 31, 2018		
	As reported	Adjustments ⁽¹⁾	Balances prior to adoption of ASC 606
Revenues:			
Coal revenues	\$ 478,365	\$ (75,666)	\$ 402,699
Freight and handling revenues	—	75,666	75,666
Other revenues	3,967	—	3,967
Total revenues	\$ 482,332	\$ —	\$ 482,332

⁽¹⁾ The entire adjustment represents freight and handling revenues being treated as fulfillments costs and included within coal revenues under ASC 606.

Refer to Note 3 for further disclosure requirements under the new standard.

Financial Instruments: In January 2016, the FASB issued ASU 2016-01, *Financial Instruments - Overall (Subtopic 825-10): Recognition and Measurement of Financial Assets and Financial Liabilities* (“ASU 2016-01”). The amendments in this update, along with amendments issued in 2018, address certain aspects of recognition, measurement, presentation, and disclosure of financial instruments. The Company adopted ASU 2016-01 during the first quarter of 2018. The adoption of this update did not have a material impact on the recognition, measurement, presentation, or disclosure of the Company’s financial instruments.

Leases: In February 2016, the FASB issued ASU 2016-02, *Leases*. The standard, along with amendments issued in 2017 and 2018, requires a lessee to recognize a right-of-use asset and a lease liability on the balance sheet, with the exception of leases with lease terms of 12 months or less. Additional qualitative disclosures along with specific quantitative disclosures will also be required. The standard is effective for annual reporting periods beginning after December 15, 2019 (December 15, 2018 for public entities), with early adoption permitted. The impact will depend on the Company's lease portfolio at the time of adoption. Management is currently evaluating the impact on the Company's financial statements and related disclosures.

Statement of Cash Flows: In August 2016, the FASB issued ASU 2016-15, *Statement of Cash Flows (Topic 230): Classification of Certain Cash Receipts and Cash Payments*. This update addresses whether to present certain specific cash flow items as operating, investing or financing activities. The Company adopted ASU 2016-15 during the first quarter of 2018. The classification requirements under the new guidance are either consistent with the Company’s historical practices or are not applicable to its activities and therefore do not have a material impact on classification of cash receipts and cash payments in the Company’s Statements of Cash Flows.

In November 2016, the FASB issued ASU 2016-18 *Statement of Cash Flows (Topic 230): Restricted Cash* (“ASU 2016-18”). The amendments in this update provide guidance on restricted cash presentation in the statement of cash flows. The Company adopted ASU 2016-18 during the first quarter of 2018. As a result of this guidance, the Company has combined restricted cash with unrestricted cash and cash equivalents when reconciling the beginning and end of period balances on its Statements of Cash Flows. The amendments also require a company to disclose information about the nature of the restrictions and amounts described as restricted cash and restricted cash equivalents. Such disclosures are included in Note 16.

Business Combinations: In January 2017, the FASB issued ASU 2017-01, *Business Combinations (Topic 805): Clarifying the Definition of a Business* (“ASU 2017-01”). The amendments in this update provide clarification on the definition of a business to assist entities with evaluating whether transactions should be accounted for as acquisitions of assets or businesses. The new guidance is to be applied prospectively on or after the effective date. The Company adopted ASU 2017-01 during the first quarter of 2018. The adoption of this ASU did not have a material impact on the Company’s financial statements.

Retirement Benefits: In March 2017, the FASB issued ASU 2017-07, *Improving the Presentation of Net Periodic Pension Cost and Net Periodic Post-retirement Benefit Cost*. The amendments in this update require that an employer disaggregate the service cost component from the other components of net periodic benefit cost. In addition, only the service cost component will be eligible for capitalization. The new guidance is to be applied retrospectively for income statement effects and prospectively for balance sheet effects. Additionally, the new guidance allows a practical expedient that permits employers to use the amounts disclosed in its pension and other postretirement benefit plan note for the prior comparative periods as the estimation basis for applying the retrospective presentation requirements. The Company adopted ASU 2017-07 during the first

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

quarter of 2018, electing to use the practical expedient as the estimation basis for applying the retrospective presentation requirements. The retrospective application resulted in a \$177 reduction in cost of coal sales with the corresponding offset to miscellaneous income, net for the three months ended March 31, 2017.

Stock Compensation: In May 2017, the FASB issued ASU 2017-09, *Compensation - Stock Compensation (Topic 718): Scope of Modification Accounting* (“ASU 2017-09”). The amendments in this update provide clarification on which changes to the terms or conditions of a share-based payment award require an entity to apply modification accounting under Topic 718. The new guidance is to be applied prospectively on or after the adoption date. The Company adopted ASU 2017-09 during the first quarter of 2018. The adoption of this ASU did not have a material impact on the Company’s financial statements.

(2) Discontinued Operations

The discontinued operations include the Company’s former PRB segment. On December 8, 2017, the Company closed a transaction (“PRB Transaction”) to sell the Eagle Butte and Belle Ayr mines located in the PRB. During the permit transfer period, the Company will maintain the required reclamation bonds and related collateral. Once the permits have been transferred, the Company estimates approximately \$24,000 comprised of short-term restricted cash and short-term deposits will be returned to operating cash. If the permit transfer process is not completed as expected, it could have material, adverse effects on the Company.

The major components of net income (loss) from discontinued operations in the Condensed Consolidated Statements of Operations are as follows:

	Three Months Ended March 31,	
	2018	2017
Revenues:		
Total revenues ⁽¹⁾	\$ 933	\$ 98,314
Costs and expenses:		
Cost of coal sales (exclusive of items shown separately below)	\$ —	\$ 83,570
Depreciation, depletion and amortization	\$ —	\$ 8,083
Other expenses	\$ 1,299	\$ —
Other non-major expense items, net	\$ 993	\$ 1,642

⁽¹⁾ Total revenues for the three months ended March 31, 2018 consisted entirely of other revenues.

The major components of asset and liabilities that are classified as discontinued operations in the Condensed Consolidated Balance Sheets are as follows:

	March 31, 2018	December 31, 2017
Assets:		
Accounts Receivable	\$ 4,361	\$ 20,443
Prepaid expenses and other current assets	\$ 27,804	\$ 18,974
Other current assets	\$ 10	\$ 1,081
Other non-current assets	\$ 7,632	\$ 7,632
Liabilities:		
Trade accounts payable, accrued expenses and other current liabilities	\$ 31,934	\$ 54,114
Other non-current liabilities	\$ 7,761	\$ 7,762

As of March 31, 2018, the residual assets and liabilities related to the discontinued operations are primarily comprised of taxes and royalties for which Contura is considered to be the primary obligor and for which the Buyer is contractually obligated to pay. The Company has recorded the taxes and royalties as a liability with an offsetting receivable from the Buyer.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

The major components of cash flows related to discontinued operations are as follows:

	Three Months Ended March 31,	
	2018	2017
Depreciation, depletion and amortization	\$ —	\$ 8,082
Capital expenditures	\$ —	\$ 1,030
Other significant operating non-cash items related to discontinued operations:		
Accretion of asset retirement obligations	\$ —	\$ 3,022

(3) Revenue

Revenue Recognition Accounting Policy

The Company adopted ASC 606, with a date of initial application of January 1, 2018, using the modified retrospective method. As a result, the Company has changes to its accounting policy for revenue recognition as outlined below.

Subsequent to the adoption of ASC 606, the Company measures revenue based on the consideration specified in a contract with a customer and recognizes revenue as a result of satisfying its promise to transfer goods or services in a contract with a customer using the following general revenue recognition five-step model: (1) identify the contract; (2) identify performance obligations; (3) determine transaction price; (4) allocate transaction price; (5) recognize revenue. Freight and handling costs paid to third-party carriers and invoiced to coal customers are recorded as freight and handling costs and freight and handling fulfillment revenues within coal revenues, respectively.

Disaggregation of Revenue from Contracts with Customers

ASC 606 requires that entities disclose disaggregated revenue information in categories (such as type of good or service, geography, market, type of contract, etc.) that depict how the nature, amount, timing, and uncertainty of revenue and cash flow are affected by economic factors. ASC 606 explains that the extent to which an entity's revenue is disaggregated depends on the facts and circumstances that pertain to the entity's contracts with customers and that some entities may need to use more than one type of category to meet the objective for disaggregating revenue.

The Company earns revenues primarily through the sale of coal produced at Company operations and coal purchased from third parties. The Company extracts, processes and markets steam and met coal from surface and deep mines for sale to electric utilities, steel and coke producers, and industrial customers. The Company conducts mining operations only in the United States with mines in Northern and Central Appalachia. The Company has three reportable segments: CAPP, NAPP and Trading and Logistics. In addition to the three reportable segments, the All Other category includes general corporate overhead and corporate assets and liabilities, the elimination of certain intercompany activity, and the Company's discontinued operations. See Note 17 for further segment information.

The following tables disaggregate the Company's coal revenues by segment and by met and steam coal to depict how the nature, amount, timing, and uncertainty of the Company's coal revenues and cash flows are affected by economic factors:

	Three Months Ended March 31, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Steam	\$ 1,137	\$ 54,912	\$ —	\$ —	\$ 56,049
Met	\$ 133,432	\$ 6,546	\$ 206,672		\$ 346,650
Freight and handling fulfillment revenues	\$ —	\$ —	\$ 75,666	\$ —	\$ 75,666
Total coal revenues	\$ 134,569	\$ 61,458	\$ 282,338	\$ —	\$ 478,365

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

Three Months Ended March 31, 2017

	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Steam	\$ 1,326	\$ 90,470	\$ —	\$ —	\$ 91,796
Met	\$ 147,405	\$ 7,184	\$ 166,653	\$ —	\$ 321,242
Total coal revenues	\$ 148,731	\$ 97,654	\$ 166,653	\$ —	\$ 413,038
Freight and handling revenues	\$ —	\$ —	\$ 60,223	\$ —	\$ 60,223

Performance Obligations

The Company considers each individual transfer of coal on a per shipment basis to the customer a performance obligation. The pricing terms of the Company's contracts with customers include fixed pricing, variable pricing, or a combination of both fixed and variable pricing. All the Company's revenue derived from contracts with customers is recognized at a point in time. The following table includes estimated revenue expected to be recognized in the future related to performance obligations that are unsatisfied as of March 31, 2018.

	Remainder of 2018	2019	2020	2021	2022	2023	Total
Estimated coal revenues ⁽¹⁾	\$ 258,919	\$ 141,422	\$ 115,009	\$ 78,390	\$ 69,944	\$ 84,268	\$ 747,952

⁽¹⁾ Amounts only include estimated coal revenues associated with contracts with customers with fixed pricing with original expected duration of more than one year. The Company has elected to not disclose the aggregate amount of the transaction price allocated to the performance obligations that are unsatisfied (or partially unsatisfied) as of the end of the reporting period for performance obligations with either of the following conditions: 1) the remaining performance obligation is part of a contract that has an original expected duration of one year or less; or 2) the remaining performance obligation has variable consideration that is allocated entirely to a wholly unsatisfied performance obligation.

Contract Balances

The Company receives prepayments under certain contracts with customers based on contract payment terms and the timing of shipments. These amounts are recognized within revenues upon satisfaction of the related performance obligations. The following table includes the opening and closing balances of contract liabilities from contracts with customers, which are included within accrued expenses and other current liabilities on the Company's Condensed Consolidated Balance Sheets:

	March 31, 2018	December 31, 2017
Contract Liabilities ⁽¹⁾	\$ 7,187	\$ —

⁽¹⁾ Amounts primarily relate to customer prepayments under coal contracts.

(4) Accumulated Other Comprehensive (Loss) Income

The following tables summarize the changes to accumulated other comprehensive income (loss) during the three months ended March 31, 2018 and 2017:

	Balance January 1, 2018	Other comprehensive income (loss) before reclassifications	Amounts reclassified from accumulated other comprehensive income (loss)	Balance March 31, 2018
Employee benefit costs	\$ (1,948)	\$ —	\$ 37	\$ (1,911)
	Balance January 1, 2017	Other comprehensive income (loss) before reclassifications	Amounts reclassified from accumulated other comprehensive income (loss)	Balance March 31, 2017
Employee benefit costs	\$ 2,087	\$ —	\$ (71)	\$ 2,016

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The following table summarizes the amounts reclassified from accumulated other comprehensive income (loss) and the Statements of Operations line items affected by the reclassification during the three months ended March 31, 2018 and 2017:

Details about accumulated other comprehensive income (loss) components	Amounts reclassified from accumulated other comprehensive (loss) income		Affected line item in the Statements of Operations
	Three Months Ended March 31, 2018	Three Months Ended March 31, 2017	
Employee benefit costs:			
Amortization of actuarial loss (gain)	\$ 37	\$ (71) ⁽¹⁾	Miscellaneous income
Income tax benefit (expense)	—	—	Income tax expense
Total, net of income tax	<u>\$ 37</u>	<u>\$ (71)</u>	

⁽¹⁾ These accumulated other comprehensive income (loss) components are included in the computation of net periodic benefit costs for black lung and life insurance. See Note 13.

(5) Earnings (Loss) Per Share

The number of shares used to calculate basic earnings per common share is based on the weighted average number of the Company's outstanding common shares during the respective period. The number of shares used to calculate diluted earnings per common share is based on the number of common shares used to calculate basic earnings per share plus the dilutive effect of stock options and other stock-based instruments held by the Company's employees and directors during the period, and the Company's outstanding Series A warrants. The warrants become dilutive for earnings per common share calculations when the market price of the Company's common stock exceeds the exercise price. For the three months ended March 31, 2018, 129,520 stock options were excluded from the computation of dilutive earnings per share because they would have been anti-dilutive. These potential shares could dilute earnings per share in the future. For the three months ended March 31, 2017, 129,520 stock options and 429,357 other stock based instruments were excluded from the computation of dilutive earnings per share because they would have been anti-dilutive.

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The following table presents the net income (loss) per common share for the three months ended March 31, 2018 and 2017:

	Three Months Ended March 31,	
	2018	2017
Net income		
Income from continuing operations	\$ 58,300	\$ 30,956
(Loss) income from discontinued operations	(1,359)	4,154
Net income	<u>\$ 56,941</u>	<u>\$ 35,110</u>
Basic		
Weighted average common shares outstanding - basic	9,548,613	10,309,428
Basic income (loss) per common share:		
Income from continuing operations	\$ 6.11	\$ 3.00
(Loss) income from discontinued operations	(0.15)	0.41
Net income	<u>\$ 5.96</u>	<u>\$ 3.41</u>
Diluted		
Weighted average common shares outstanding - basic	9,548,613	10,309,428
Diluted effect of warrants	246,672	119,238
Diluted effect of stock options	274,878	274,638
Diluted effect of restricted share units and restricted stock shares	222,444	24,977
Weighted average common shares outstanding - diluted	<u>10,292,607</u>	<u>10,728,281</u>
Diluted income (loss) per common share:		
Income from continuing operations	\$ 5.66	\$ 2.89
(Loss) income from discontinued operations	(0.13)	0.38
Net income	<u>\$ 5.53</u>	<u>\$ 3.27</u>

(6) Inventories, net

Inventories, net consisted of the following:

	March 31, 2018	December 31, 2017
Raw coal	\$ 6,245	\$ 7,003
Saleable coal	82,935	55,357
Materials, supplies and other, net	7,432	7,201
Total inventories, net	<u>\$ 96,612</u>	<u>\$ 69,561</u>

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(7) Long-Term Debt

Long-term debt consisted of the following:

	March 31, 2018	December 31, 2017
Term Loan Credit Facility - due March 2024	\$ 386,000	\$ 387,000
LC Facility	—	—
Other	3,422	3,768
Debt discount and issuance costs	(17,470)	(18,065)
Total long-term debt	371,952	372,703
Less current portion	(10,426)	(10,730)
Long-term debt, net of current portion	\$ 361,526	\$ 361,973

Term Loan Credit Facility

On March 17, 2017, the Company entered into a Credit Agreement with Jefferies Finance LLC, as administrative agent and collateral agent, and the other lenders party thereto (as defined therein) that provides for a term loan facility (the “Term Loan Credit Facility”) in an aggregate amount of \$400,000 with a maturity date of March 17, 2024. Principal repayments equal to \$1,000 are due each March, June, September and December (commencing with June 30, 2017) with the final principal repayment installment repaid on the maturity date and in any event shall be in an amount equal to the aggregate principal amount outstanding on such date. The Term Loan Credit Facility bears an interest rate per annum based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate of 4.00% to 5.00% depending on loan type (the “Applicable Rate”), payable bi-monthly in arrears. As of March 31, 2018, the Term Loan Credit Facility was classified as a Eurocurrency Rate Loan with an interest rate of 6.88%, calculated as the eurocurrency rate during the period plus an applicable rate of 5.00%.

The Term Loan Credit Facility, as amended on June 13, 2017, and related documents contain negative and affirmative covenants including certain financial covenants. The Company was in compliance with all covenants under these agreements as of March 31, 2018.

All obligations under the Term Loan Credit Facility are unconditionally guaranteed by the Company’s existing wholly owned domestic subsidiaries, and are required to be guaranteed by the Company’s future wholly owned domestic subsidiaries. Certain obligations under the Term Loan Credit Facility are secured by a senior lien, subject to certain exceptions (including the ABL Priority Collateral described below), by substantially all of our assets and the assets of our subsidiary guarantors (“Term Loan Priority Collateral”), in each case subject to exceptions. The obligations under the Term Loan Credit Facility are also secured by a junior lien, again subject to certain exceptions, against the ABL Priority Collateral.

Asset-Based Revolving Credit Agreement

On April 3, 2017, the Company entered into an Asset-Based Revolving Credit Agreement with Citibank N.A. as administrative agent, collateral agent, and swingline lender and the other lenders party thereto (the “Lenders”), and Citibank N.A., BMO Harris Bank N.A. and Credit Suisse AG as letter of credit issuers (“LC Lenders”). The Asset-Based Revolving Credit Agreement includes a senior secured asset-based revolving credit facility (the “ABL Facility”). Under the ABL Facility, the Company may borrow cash from the Lender or cause the LC Lenders to issue letters of credit, on a revolving basis, in an aggregate amount of up to \$125,000, of which no more than \$80,000 may be drawn through letters of credit. Any borrowings under the ABL Facility will have a maturity date of April 4, 2022 and will bear interest based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit available. Any letters of credit issued under the ABL Facility will bear a commitment fee rate ranging from 0.25% to 0.375% depending on the amount of availability per terms of the agreement, and a 0.25% fronting fee payable to the ABL Facility’s administrative agent. The Asset-Based Revolving Credit Agreement provides that a specified percentage of billed, unbilled and approved foreign receivables and raw and clean inventory meeting certain criteria are eligible to be counted for purposes of collateralizing the amount of financing available, subject to certain terms and conditions. As of March 31, 2018, the Company had \$0 borrowings and \$11,300 letters of credit outstanding under the ABL Facility.

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The Asset-Based Revolving Credit Agreement, as amended on June 9, 2017, and related documents contain negative and affirmative covenants including certain financial covenants. The Company was in compliance with all covenants under these agreements as of March 31, 2018.

The obligations under the ABL Facility are secured by a senior lien, subject to certain exceptions by collateral generally described as receivables, inventory, as-extracted collateral and deposit accounts (“ABL Priority Collateral”). The obligations under the ABL Facility are also secured by a junior lien, again subject to certain exceptions, against the Term Loan Priority Collateral.

Capital Leases

The Company entered into capital leases for certain property and other equipment during 2018 and 2017. The Company’s liability for capital leases totaled \$498 and \$426, with \$259 and \$226 reported within the current portion of long-term debt as of March 31, 2018 and December 31, 2017, respectively.

(8) Acquisition-Related Obligations

Acquisition-related obligations consisted of the following:

	March 31, 2018	December 31, 2017
Retiree Committee VEBA Funding Settlement Liability	\$ 3,500	\$ 7,000
UMWA Funds Settlement Liability	7,000	7,000
Reclamation Funding Liability	32,000	32,000
Other	288	580
Discount	(9,693)	(11,168)
Total acquisition-related obligations - long-term	33,095	35,412
Less current portion	(13,788)	(15,080)
Acquisition-related obligations, net of current portion	<u>\$ 19,307</u>	<u>\$ 20,332</u>

The Company entered into various settlement agreements with Alpha and/or the Alpha bankruptcy successor ANR, Inc. (“ANR”) and third parties as part of the Alpha bankruptcy reorganization process. The Company assumed acquisition-related obligations through those settlement agreements which became effective on July 26, 2016, the effective date of Alpha’s plan of reorganization.

(9) Asset Retirement Obligations

The following table summarizes the changes in asset retirement obligations for the three months ended March 31, 2018:

Total asset retirement obligations at December 31, 2017	\$ 59,205
Accretion for the period	1,581
Revisions in estimated cash flows	(9)
Expenditures for the period	(445)
Total asset retirement obligations at March 31, 2018	\$ 60,332
Less current portion	(6,351)
Long-term portion	<u>\$ 53,981</u>

(10) Fair Value of Financial Instruments and Fair Value Measurements

The estimated fair values of financial instruments are determined based on relevant market information. These estimates involve uncertainty and cannot be determined with precision.

The carrying amounts for cash and cash equivalents, trade accounts receivable, net, prepaid expenses and other current assets, short-term and long-term restricted cash, short-term and long-term deposits, trade accounts payable, and accrued

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expenses and other current liabilities approximate fair value as of March 31, 2018 and December 31, 2017 due to the short maturity of these instruments.

The following tables set forth by level, within the fair value hierarchy, the Company's long-term debt at fair value as of March 31, 2018 and December 31, 2017:

March 31, 2018					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due March 2024	\$ 368,530	\$ 368,069	\$ 368,069	\$ —	\$ —

December 31, 2017					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due March 2024	\$ 368,935	\$ 363,401	\$ 363,401	\$ —	\$ —

⁽¹⁾ Net of debt discounts and debt issuance costs.

The following tables set forth by level, within the fair value hierarchy, the Company's acquisition-related obligations at fair value as of March 31, 2018 and December 31, 2017:

March 31, 2018					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Retiree Committee VEBA Funding Settlement Liability	\$ 2,918	\$ 3,235	\$ —	\$ —	\$ 3,235
UMWA Funds Settlement Liability	4,573	5,696	—	—	5,696
Reclamation Funding Liability	25,316	28,703	—	—	28,703
Total acquisition-related obligations	<u>\$ 32,807</u>	<u>\$ 37,634</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 37,634</u>

December 31, 2017					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Retiree Committee VEBA Funding Settlement Liability	\$ 6,290	\$ 6,692	\$ —	\$ —	\$ 6,692
UMWA Funds Settlement Liability	4,366	5,654	—	—	5,654
Reclamation Funding Liability	24,176	28,365	—	—	28,365
Total acquisition-related obligations	<u>\$ 34,832</u>	<u>\$ 40,711</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 40,711</u>

⁽¹⁾ Net of discounts.

The Company held no financial or non-financial assets and liabilities that were accounted for at fair value on a recurring basis as of March 31, 2018.

The following methods and assumptions were used to estimate the fair values of the assets and liabilities in the tables above.

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Level 1 Fair Value Measurements

Term Loan Credit Facility - due March 2024 - The fair value is based on observable market data.

Level 3 Fair Value Measurements

Retiree Committee VEBA Funding Settlement Liability, UMWA Funds Settlement Liability, and Reclamation Funding Liability - Observable transactions are not available to aid in determining the fair value of these items. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows are discounted using a risk-free interest rate adjusted for market risk.

(11) Warrants

On July 26, 2016 (the “Initial Issue Date”), the Company issued 810,811 warrants, each with an initial exercise price of \$55.93 per share of common stock and exercisable for one share of the Company’s common stock, par value \$0.01 per share. The warrants are exercisable for cash or on a cashless basis at any time from the Initial Issue Date until July 26, 2023. As of March 31, 2018, the Company’s warrants valued at approximately \$1,154 are classified within additional paid-in capital in the Condensed Consolidated Balance Sheet.

As of March 31, 2018, of the 810,811 warrants that were originally issued, 801,983 remain outstanding, with a total of 922,280 shares underlying the un-exercised warrants. No warrants were exercised during the three months ended March 31, 2018.

(12) Income Taxes

For the three months ended March 31, 2018, the Company recorded income tax expense of \$66 on income from continuing operations before income taxes of \$58,366. The income tax expense differs from the expected statutory amount primarily due to the impact of the percentage depletion allowance and the reduction in the valuation allowance, partially offset by the impact of state income taxes, net of federal tax impact. As of March 31, 2018, the Company anticipates Federal net operating loss carryforwards will fully offset the Federal taxable income generated in 2018. For the three months ended March 31, 2017, the Company recorded income tax expense of \$9,482 on income from continuing operations before income taxes of \$40,438. The income tax expense differs from the expected statutory amount primarily due to the impact of the percentage depletion allowance and the reduction in the valuation allowance.

On December 22, 2017, President Trump signed into law legislation commonly referred to as the “Tax Cuts and Jobs Act” (“TCJA”). Effective for tax years beginning after December 31, 2017, the TCJA reduces the corporate income tax rate from 35% to 21%. The TCJA also repeals the corporate alternative minimum tax (“AMT”), provides a mechanism for corporations to monetize alternative minimum tax credits (“AMT Credits”) during the 2018 to 2021 tax years, and makes changes to net operating loss (“NOL”) provisions to repeal NOL carrybacks, allow NOLs to be carried forward indefinitely, and limit the utilization of an NOL carryforward to 80% of taxable income generated.

At December 31, 2017, the Company recorded, under SAB 118, its best estimate of the monetizable AMT Credits based on the information available at that time and will finalize the analysis within the one-year measurement period ending on December 22, 2018. During the three months ended March 31, 2018, the Company did not record any provisional adjustments to the amount of AMT Credits.

As a result of generating income from continuing operations before income taxes during the three months ended March 31, 2018, the Company recorded a decrease of \$15,078 to its deferred tax asset valuation allowance recorded as of March 31, 2018. The decrease in valuation allowance results from a decrease in net operating losses and other deferred tax assets since the prior reporting date of December 31, 2017. The valuation allowance associated with those deferred tax assets was released during the three months ended March 31, 2018. The Company currently is relying primarily on the reversal of taxable temporary differences, along with consideration of taxable income via carryback to prior years and tax planning strategies, to support the realization of deferred tax assets. The Company updates its assessment regarding the realizability of its deferred tax assets including scheduling the reversal of its deferred tax liabilities to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. The Company believes the deferred tax liabilities relied upon as future taxable income in its assessment will reverse in the same period and jurisdiction and

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are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized. The valuation allowance recorded represents the portion of deferred tax assets for which the Company is unable to support realization through the methods described above. As of March 31, 2018, the Company recorded a full valuation allowance against its net deferred tax assets other than the AMT Credits.

(13) Employee Benefit Plans

The Company sponsors or participates in several types of benefits for its employees, including postemployment health care and life insurance, defined benefit and defined contribution pension plans, and workers' compensation and black lung benefits.

Black Lung

The following table details the components of the net periodic benefit cost for black lung obligations:

	Three Months Ended March 31,	
	2018	2017
Service cost	\$ 196	\$ 152
Interest cost	172	146
Amortization of net actuarial loss (gain)	48	(57)
Net periodic expense	<u>\$ 416</u>	<u>\$ 241</u>

The components of net periodic benefit cost other than the service cost component are included in the line item miscellaneous income in the Condensed Consolidated Statements of Operations.

Life Insurance Benefits

The Company had \$12,580 and \$12,640 of life insurance benefits liability as of March 31, 2018 and December 31, 2017, respectively.

The following table details the components of the net periodic benefit cost for life insurance benefit obligations:

	Three Months Ended March 31,	
	2018	2017
Interest cost	\$ 97	\$ 102
Amortization of net actuarial gain	(11)	(14)
Net periodic expense	<u>\$ 86</u>	<u>\$ 88</u>

The components of net periodic benefit cost are included in the line item miscellaneous income in the Condensed Consolidated Statements of Operations.

Defined Contribution and Profit Sharing Plans

The Company sponsors defined contribution plans to assist its eligible employees in providing for retirement. Generally, under the terms of these plans, employees make voluntary contributions through payroll deductions and the Company makes matching and/or discretionary contributions, as defined by each plan. The Company's total contributions to these plans for the three months ended March 31, 2018 and 2017 was \$5,511 and \$4,191, respectively.

Self-Insured Medical Plan

The Company is self-insured for health insurance coverage for all of its active employees. Estimated liabilities for health and medical claims are recorded based on the Company's historical experience and include a component for incurred but not paid claims. During the three months ended March 31, 2018 and 2017, the Company incurred total expenses of \$7,162 and \$6,764, respectively, which primarily includes claims processed and an estimate for claims incurred but not paid.

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(14) Stock-Based Compensation Awards

The Management Incentive Plan (the “Plan”) is currently authorized for the issuance of awards of up to 1,201,202 shares of common stock, and as of March 31, 2018, there were 71,968 additional shares of common stock available for grant under the Plan.

During the three months ended March 31, 2018, the Company granted certain key employees 18,063 time-based restricted stock units with a grant date fair value of \$65.00, based on the Company’s stock price at the date of grant. As of the date of the awards, the Company did not have sufficient authorized and unissued common shares to settle these awards and the awards will be settled with cash, unless shares become available for issuance under the Plan. Therefore, these awards are classified as a liability. The Company’s liability for all outstanding liability awards totaled \$495 and \$163 as of March 31, 2018 and December 31, 2017, respectively. These time-based units will vest on the first anniversary of the date of the grant.

At March 31, 2018, the Company had three types of stock-based awards outstanding: time-based restricted stock shares, time-based restricted share units, and stock options. Stock-based compensation expense totaled \$4,811 and \$1,431 for the three months ended March 31, 2018 and 2017, respectively. For the three months ended March 31, 2018 and 2017, approximately 95% and 95%, respectively, of stock-based compensation expense was reported as selling, general and administrative expenses and the remainder was recorded as cost of coal sales.

The Company is authorized to repurchase common shares from employees (upon the election by the employee) to satisfy the employees’ statutory tax withholdings upon the vesting of stock grants. Shares that are repurchased to satisfy the employees’ statutory tax withholdings are recorded in treasury stock at cost. During the three months ended March 31, 2018, the Company repurchased 70,834 shares of its common stock issued pursuant to awards under the Plan for a total purchase amount of \$4,816, or \$67.99 average price paid per share. The Company did not repurchase any common shares from employees to satisfy the employees’ statutory tax withholdings upon vesting of stock grants during the three months ended March 31, 2017.

(15) Related Party Transactions

There were no material related party transactions for the three months ended March 31, 2018.

(16) Commitments and Contingencies

(a) General

Estimated losses from loss contingencies are accrued by a charge to income when information available indicates that it is probable that an asset has been impaired or a liability has been incurred and the amount of the loss can be reasonably estimated.

If a loss contingency is not probable or reasonably estimable, disclosure of the loss contingency is made in the Financial Statements when it is at least reasonably possible that a loss may be incurred and that the loss could be material.

(b) Commitments and Contingencies

Commitments

The Company leases coal mining and other equipment under long-term capital and operating leases with varying terms. In addition, the Company leases mineral interests and surface rights from land owners under various terms and royalty rates.

Net rent expense under operating leases was \$459 and \$384 and coal royalty expense was \$5,973 and \$6,429 for the three months ended March 31, 2018 and 2017, respectively.

Other Commitments

The Company has obligations under certain coal purchase agreements that contain minimum quantities to be purchased in the remainder of 2018, 2019, and 2020 totaling \$509,499, \$106,140, and \$1,595, respectively, which includes an estimated \$162,400 related to contractually committed variable priced tons from vendors with historical performance resulting in less than

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20% of the committed tonnage being delivered. The Company has obligations under certain coal transportation agreements that contain minimum quantities to be shipped in the remainder of 2018, 2019, and 2020 totaling \$2,256, \$3,072, and \$3,102, respectively. The Company also has obligations under certain equipment purchase agreements that contain minimum quantities to be purchased in the remainder of 2018 and 2019 totaling \$30,713 and \$1,351, respectively.

Contingencies

Extensive regulation of the impacts of mining on the environment and of maintaining workplace safety has had and is expected to continue to have a significant effect on the Company's costs of production and results of operations. Further regulations, legislation or litigation in these areas may also cause the Company's sales or profitability to decline by increasing costs or by hindering the Company's ability to continue mining at existing operations or to permit new operations.

During the normal course of business, contract-related matters arise between the Company and its customers. When a loss related to such matters is considered probable and can reasonably be estimated, the Company records a liability.

Per terms of the Back-to-Back Coal Supply Agreements, the Company is required to purchase and sell coal in the remainder of 2018, 2019, and 2020 totaling \$28,364, \$10,363, and \$9,175, respectively. For the three months ended March 31, 2018, the Company purchased and sold 3,164 tons, totaling \$33,749, under the Back-to-Back Coal Supply Agreements.

As a result of certain tax law changes made in December 2017, the Company is entitled to monetize alternative minimum tax credits in aggregate of \$78,744 over tax years 2018 to 2021 (the "AMT Credits"), and the Company has recorded a deferred tax asset of \$78,744. ANR has asserted that, under the terms of the Asset Purchase Agreement that it entered into with us on July 26, 2016, it is entitled to the value of the AMT Credits, although it has not made a formal claim in this regard. The Company disagrees with this assertion and intends to dispute any such claim.

(c) Guarantees and Financial Instruments with Off-Balance Sheet Risk

In the normal course of business, the Company is a party to certain guarantees and financial instruments with off-balance sheet risk, such as bank letters of credit, performance or surety bonds, and other guarantees and indemnities related to the obligations of affiliated entities which are not reflected in the Company's Balance Sheet. As of March 31, 2018, the Company had outstanding surety bonds with a total face amount of \$403,727 to secure various obligations and commitments, including \$237,150 related to the PRB. To secure the Company's obligations under reclamation-related bonds, the Company is required to provide cash collateral. Once the permits associated with the PRB Transaction have been transferred, the Company estimates approximately \$24,000 comprised of short-term restricted cash and short-term deposits will be returned to operating cash.

Amounts included in short-term and long-term restricted cash represent cash deposits that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral in the amounts of \$18,905, \$29,321, and \$5,666 as of March 31, 2018 for securing the Company's obligations under certain worker's compensation, reclamation related bonds, and financial guarantees, respectively, which have been written on the Company's behalf. The Company's restricted cash is primarily invested in interest bearing accounts.

As of March 31, 2018, the Company had real property collateralizing \$26,749 of reclamation bonds.

Letters of Credit

As of March 31, 2018, the Company had \$11,300 letters of credit outstanding under the Asset-Based Revolving Credit Agreement.

(d) Legal Proceedings

The Company could become party to legal proceedings from time to time. These proceedings, as well as governmental examinations, could involve various business units and a variety of claims including, but not limited to, contract disputes, personal injury claims, property damage claims (including those resulting from blasting, trucking and flooding), environmental and safety issues, and employment matters. While some legal matters may specify the damages claimed by the plaintiffs, many seek an unquantified amount of damages. Even when the amount of damages claimed against the Company or its subsidiaries is stated, (i) the claimed amount may be exaggerated or unsupported; (ii) the claim may be based on a novel legal theory or

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involve a large number of parties; (iii) there may be uncertainty as to the likelihood of a class being certified or the ultimate size of the class; (iv) there may be uncertainty as to the outcome of pending appeals or motions; and/or (v) there may be significant factual issues to be resolved. As a result, if such legal matters arise in the future the Company may be unable to estimate a range of possible loss for matters that have not yet progressed sufficiently through discovery and development of important factual information and legal issues. The Company records accruals based on an estimate of the ultimate outcome of these matters, but these estimates can be difficult to determine and involve significant judgment.

(17) Segment Information

The Company extracts, processes and markets steam and met coal from surface and deep mines for sale to electric utilities, steel and coke producers, and industrial customers. The Company conducts mining operations only in the United States with mines in Northern and Central Appalachia. The Company has three reportable segments: CAPP, NAPP and Trading and Logistics. CAPP consists of six active mines and two preparation plants in Virginia, one active mine and one preparation plant in West Virginia, as well as expenses associated with certain closed mines. NAPP consists of one active mine in Pennsylvania and one preparation plant, as well as expenses associated with one closed mine. The Trading and Logistics segment primarily engages in coal trading activities and coal terminal services.

In addition to the three reportable segments, the All Other category includes general corporate overhead and corporate assets and liabilities, the elimination of certain intercompany activity, and the Company's discontinued operations.

The operating results of these reportable segments are regularly reviewed by the Chief Operating Decision Maker ("CODM"), who is the Chief Executive Officer of the Company.

Segment operating results and capital expenditures for the three months ended March 31, 2018 were as follows:

	Three Months Ended March 31, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 134,836	\$ 63,137	\$ 283,019	\$ 1,340	\$ 482,332
Depreciation, depletion, and amortization	\$ 6,236	\$ 5,168	\$ —	\$ 184	\$ 11,588
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 10,206	\$ —	\$ 10,206
Adjusted EBITDA	\$ 57,920	\$ 9,290	\$ 42,758	\$ (10,968)	\$ 99,000
Capital expenditures	\$ 7,672	\$ 11,769	\$ —	\$ —	\$ 19,441

Segment operating results and capital expenditures for the three months ended March 31, 2017 were as follows:

	Three Months Ended March 31, 2017				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 149,079	\$ 98,312	\$ 227,565	\$ 163	\$ 475,119
Depreciation, depletion, and amortization	\$ 5,505	\$ 3,156	\$ —	\$ 188	\$ 8,849
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 19,658	\$ —	\$ 19,658
Adjusted EBITDA	\$ 71,391	\$ 34,532	\$ 25,370	\$ (11,883)	\$ 119,410
Capital expenditures	\$ 2,049	\$ 9,599	\$ —	\$ 200	\$ 11,848

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The following table presents a reconciliation of net income (loss) to Adjusted EBITDA for the three months ended March 31, 2018:

	Three Months Ended March 31, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 49,860	\$ 3,115	\$ 32,552	\$ (27,227)	\$ 58,300
Interest expense	309	68	—	8,828	9,205
Interest income	(4)	(2)	—	(125)	(131)
Income tax expense	—	—	—	66	66
Depreciation, depletion and amortization	6,236	5,168	—	184	11,588
Merger related costs	—	—	—	460	460
Management restructuring costs ⁽¹⁾	—	—	—	2,659	2,659
Non-cash stock compensation expense ⁽²⁾	—	—	—	4,479	4,479
Gain on settlement of acquisition-related obligations	—	—	—	(292)	(292)
Accretion expense	1,519	941	—	—	2,460
Amortization of acquired intangibles, net	—	—	10,206	—	10,206
Adjusted EBITDA ⁽³⁾	<u>\$ 57,920</u>	<u>\$ 9,290</u>	<u>\$ 42,758</u>	<u>\$ (10,968)</u>	<u>\$ 99,000</u>

⁽¹⁾ Management restructuring costs are related to severance expense associated with senior management changes in the three months ended March 31, 2018.

⁽²⁾ The Company's Adjusted EBITDA calculation has been modified to add back non-cash stock compensation expense to align with industry peer group methodology.

⁽³⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of (\$1,266) for the three months ended March 31, 2018.

The following table presents a reconciliation of net (loss) income to Adjusted EBITDA for the three months ended March 31, 2017:

	Three Months Ended March 31, 2017				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 64,367	\$ 30,284	\$ 5,669	\$ (69,364)	\$ 30,956
Interest expense	60	51	—	11,165	11,276
Interest income	(3)	—	—	(28)	(31)
Income tax expense	—	—	—	9,482	9,482
Depreciation, depletion and amortization	5,505	3,156	—	188	8,849
Non-cash stock compensation expense ⁽¹⁾	—	—	43	1,388	1,431
Mark-to-market adjustment - acquisition-related obligations	—	—	—	(4,357)	(4,357)
Secondary offering costs	—	—	—	942	942
Loss on early extinguishment of debt	—	—	—	38,701	38,701
Accretion expense	1,462	1,041	—	—	2,503
Amortization of acquired intangibles, net	—	—	19,658	—	19,658
Adjusted EBITDA ⁽²⁾	<u>\$ 71,391</u>	<u>\$ 34,532</u>	<u>\$ 25,370</u>	<u>\$ (11,883)</u>	<u>\$ 119,410</u>

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back non-cash stock compensation expense to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of \$16,315 for the three months ended March 31, 2017.

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No asset information has been provided for these reportable segments as the CODM does not regularly review asset information by reportable segment.

The Company markets produced, processed and purchased coal to customers in the United States and in international markets, primarily India, Brazil, France, Italy, and Spain. Export coal revenues were the following:

	Three Months Ended March 31,	
	2018	2017 ⁽¹⁾
Total coal revenues ⁽¹⁾	\$ 478,365	\$ 473,261
Export coal revenues ⁽¹⁾⁽²⁾	\$ 421,555	\$ 354,072
Export coal revenues as % of total coal revenues ⁽¹⁾	88%	75%

⁽¹⁾ Amounts include freight and handling revenues.

⁽²⁾ The amounts for the three months ended March 31, 2018 include \$166,284 and \$66,606 of export coal revenues, including freight and handling revenues, from external customers in India and Brazil, respectively, recorded within the CAPP, NAPP, and Trading and Logistics segments. The amount for the three months ended March 31, 2017 includes \$109,703 and \$48,477 of export coal revenues, including freight and handling revenues, from external customers in India and Italy, respectively, recorded within the CAPP, NAPP, and Trading and Logistics segments. Revenue is tracked within the Company's accounting records based on the product destination.

The Company sold 1,522 tons of coal purchased from third parties, excluding tons sold related to the Back-to-Back Coal Supply Agreements, for the three months ended March 31, 2018, representing approximately 40% of total coal sales volume during such period. The Company sold 1,079 tons of coal purchased from third parties for the three months ended March 31, 2017, representing approximately 25% of total coal sales volume during such period. Additionally, the Company purchases a substantial portion of this coal from one source.

(18) Investment in Unconsolidated Affiliate

Dominion Terminal Associates ("DTA")

On March 31, 2017, the Company acquired a portion of another partner's interest in DTA for \$13,293 thereby increasing its ownership in DTA to sixty-five percent. DTA is reliant upon continuous cash contributions from the partners to fund its operating costs. The Company's cash contributions totaled \$525 for the three months ended March 31, 2018. The capital contributions which increase the capital accounts of the respective partners are a form of future subordinated financial support required by DTA to finance its activities. As a result, the Company has concluded DTA does not have sufficient equity investment to finance its activities without the support from the equity partners and is a variable interest entity. Prior to the purchase of the additional interest in DTA, no single party held a majority ownership interest in DTA. After the transaction, there are two remaining owners and Contura holds a sixty-five percent voting ownership interest in DTA. However, two representatives must be present for business to be conducted and consent and unanimous approval of both the members is required for decisions to be taken. Further, there are no provisions that allow either party to override or otherwise unilaterally make a decision. As a result, the Company has concluded that it does not have the power to direct the activities that most significantly impact its economic performance and therefore is not the primary beneficiary. Accordingly, the Company continues to apply the equity method of accounting.

The Company recorded equity method losses, before taxes, from DTA of (\$63) and (\$1,213) for the three months ended March 31, 2018 and 2017, respectively, which are reflected within miscellaneous income, net in the Statements of Operations. As of March 31, 2018 and December 31, 2017, the Company's investment in DTA was \$16,557 and \$16,095, respectively, and is recorded within other non-current assets within the Company's Condensed Consolidated Balance Sheets.

Condensed income statement information for the three months ended March 31, 2018 and 2017 for DTA is presented in the following table:

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	Three Months Ended March 31,	
	2018	2017
Operating expenses	\$ 6,217	\$ 6,057
Other income, net	\$ (5,364)	\$ (1,859)
Total expenses, net	\$ 853	\$ 4,198
Contributions from partners to fund continuing operations	\$ 788	\$ 2,554
Expenses (over)/under contributions	\$ (65)	\$ (1,644)
Depreciation and amortization	\$ 1,396	\$ 960

(19) Subsequent Events

The Company's subsequent events have been evaluated through May 24, 2018, the date at which the Condensed Consolidated Financial Statements were available to be issued.

Sale of Disposal Group within CAPP Segment

During the fourth quarter of 2017, the Company entered into an asset purchase agreement to sell a disposal group (comprised of property, plant and equipment and associated asset retirement obligations) at a preparation plant within the Company's CAPP segment. As of March 31, 2018, assets and liabilities held for sale in the amounts of \$171 and \$28,041, respectively, represent the fair value of the disposal group. Upon permit transfer, the transaction closed on April 2, 2018. The Company paid \$10,000 in connection with the transaction, which was paid into escrow on March 27, 2018 and transferred to the buyer at the transaction close date, and will pay a series of cash payments in the aggregate amount of \$1,500, per the terms stated in the agreement, and estimates a gain on sale of approximately \$16,400.

Mergers with Alpha Natural Resources Holdings, Inc. and ANR, Inc.

On April 29, 2018, the company and two of its subsidiaries entered into an agreement and plan of merger with Alpha Natural Resources Holdings, Inc. ("Holdings") and ANR, Inc. ("ANR", and, together with Holdings, "the Alpha Companies") (the "Merger Agreement"). Pursuant to the transaction structure alternatives available under the Merger Agreement, the company expects that Holdings and ANR will each merge with and into one of two newly-formed subsidiaries of the company (the "Mergers"), with Holdings and ANR continuing as the surviving corporations of the Mergers and as wholly owned subsidiaries of the company.

As a result of the Mergers and subject to the terms and conditions of the Merger Agreement, each outstanding share of Class C-1 common stock of ANR ("Class C-1 Common Stock"), and each outstanding share of common stock of Holdings ("Holdings Common Stock"), will be converted into the right to receive 0.4071 shares of the company's common stock. Each outstanding share of Class C-2 common stock of ANR ("Class C-2 Common Stock") (held exclusively by Holdings) will be canceled in connection with the Mergers. The Mergers are expected to close in the third calendar quarter of 2018.

The Merger Agreement and the Mergers have been approved by the boards of directors of ANR and Holdings. Stockholders of ANR and Holdings will be asked to vote to approve the transactions contemplated by the Merger Agreement at special meetings that are expected to be held during the third quarter of 2018.

In connection with their approval of the Mergers, the company's board of directors and the holders of a majority of the outstanding shares of company common stock have approved (i) an amendment and restatement of the company's current certificate of incorporation (to become effective immediately prior to the closing of the transactions contemplated by the Merger Agreement), (ii) the entry by the company into indemnification agreements with directors and officers of the company (contingent upon, and effective contemporaneously with, the effectiveness of the registration statement on Form S-4 to be filed in connection with the transactions contemplated by the Merger Agreement (the "Form S-4")) and (iii) the company's 2018 Long-Term Incentive Plan, including the authorization of the company to reserve up to 1,000,000 shares of company common stock for issuance under that plan.

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The company, Holdings and ANR each made customary representations, warranties and covenants in the Merger Agreement, including customary “no-shop” provisions applicable to the Alpha Companies, and the closing of the Mergers is subject to customary closing conditions.

The Alpha Companies are required to pay the company a termination fee of \$19,000 under certain circumstances and are also required to reimburse the company for the company’s fees and expenses incurred in connection with the transactions contemplated by the Merger Agreement if the Merger Agreement is terminated because Alpha Stockholder Approval is not obtained at the Holdings and ANR special meetings. This reimbursement is limited to \$9,000, which would be credited against the termination fee to be paid by the Alpha Companies. The company is also required to pay the Alpha Companies a termination fee of \$19,000 under certain circumstances.

FirstEnergy Generation, LLC Coal Contract

FirstEnergy Solutions Corp. (FES) and certain subsidiaries filed a motion with the United States Bankruptcy Court for the Northern District of Ohio of the Eastern Division to reject an existing coal contract between FirstEnergy Generation, LLC and the Company on May 18, 2018. As a result of this filing, the Company has accelerated the amortization of the related above-market coal sales contract asset resulting in \$5,730 of accelerated amortization of acquired intangibles expense for the three months ended March 31, 2018.

GLOSSARY

Acquisition. Refers to the transaction by which Contura acquired certain of Alpha's core coal operations as part of the Alpha Restructuring.

Alpha. Alpha Natural Resources, Inc.

Alpha's Plan of Reorganization. Alpha's plan of reorganization approved on July 7, 2016 and effective as of July 26, 2016.

Alpha Restructuring. The series of bankruptcy restructuring transactions which led to Alpha's emergence from Chapter 11 bankruptcy on July 26, 2016.

Ash. Impurities consisting of iron, alumina and other incombustible matter that are contained in coal. Since ash increases the weight of coal, it adds to the cost of handling and can affect the burning characteristics of coal.

Assigned reserves. Coal that is planned to be mined at an operation that is currently operating, currently idled, or for which permits have been submitted and plans are eventually to develop the operation.

Back-to-Back Coal Supply Agreement. An agreement with Blackjewel (the "Buyer") under the terms of the asset purchase agreement associated with the sale of PRB under which the Buyer will supply, deliver and sell to the Company, and the Company will accept, purchase and pay for, all coal that the Company is obligated to supply, deliver and sell under PRB coal supply agreements existing as of the transaction closing date that did not transfer to the Buyer at closing.

British Thermal Unit or BTU. A measure of the thermal energy required to raise the temperature of one pound of pure liquid water one degree Fahrenheit at the temperature at which water has its greatest density (39 degrees Fahrenheit).

Central Appalachia or CAPP. Coal producing area in eastern Kentucky, Virginia, southern West Virginia and a portion of eastern Tennessee.

Coke. A hard, dry carbon substance produced by heating coal to a very high temperature in the absence of air. Coke is used in the manufacture of iron and steel. Its production results in a number of useful byproducts.

Longwall mining. The most productive underground mining method in the United States. A rotating drum is trammed mechanically across the face of coal, and a hydraulic system supports the roof of the mine while the drum advances through the coal. Chain conveyors then move the loosened coal to a standard underground mine conveyor system for delivery to the surface.

Metallurgical coal. The various grades of coal suitable for carbonization to make coke for steel manufacture. Also known as "met" coal, its quality depends on four important criteria: volatility, which affects coke yield; the level of impurities including sulfur and ash, which affect coke quality; composition, which affects coke strength; and basic characteristics, which affect coke oven safety. Met coal typically has a particularly high BTU but low ash and sulfur content.

Northern Appalachia or NAPP. Coal producing area in Maryland, Ohio, Pennsylvania and northern West Virginia.

Operating Margin. Gross revenue less Total Cash Cost.

Powder River Basin or PRB. Coal producing area in northeastern Wyoming and southeastern Montana.

Preparation plant. A preparation plant is a facility for crushing, sizing and washing coal to remove impurities and prepare it for use by a particular customer. The washing process has the added benefit of removing some of the coal's sulfur content. A preparation plant is usually located on a mine site, although one plant may serve several mines.

Probable reserves. Reserves for which quantity and grade and/or quality are computed from information similar to that used for proven reserves, but the sites for inspection, sampling and measurement are farther apart or are otherwise less adequately spaced. The degree of assurance, although lower than that for proven reserves, is high enough to assume continuity between points of observation.

Productivity. As used in this report, refers to clean metric tons of coal produced per underground man hour worked, as published by the MSHA.

Proven reserves. Reserves for which quantity is computed from dimensions revealed in outcrops, trenches, workings or drill holes; grade and/or quality are computed from the results of detailed sampling; and the sites for inspection, sampling and measurement are spaced so closely and the geologic character is so well defined that size, shape, depth and mineral content of reserves are well-established.

Reclamation. The process of restoring land and the environment to their original state following mining activities. The process commonly includes “recontouring” or reshaping the land to its approximate original appearance, restoring topsoil and planting native grass and ground covers. Reclamation operations are usually underway before the mining of a particular site is completed. Reclamation is closely regulated by both state and federal law.

Recoverable reserves. Metric tons of mineable coal that can be extracted and marketed after deduction for coal to be left behind within the seam (i.e., pillars left to hold up the ceiling, coal not economical to recover within the mine, etc.) and adjusted for reasonable preparation and handling losses.

Reserve. That part of a mineral deposit that could be economically and legally extracted or produced at the time of the reserve determination.

Roof. The stratum of rock or other mineral above a coal seam; the overhead surface of a coal working place.

Steam coal. Coal used by power plants and industrial steam boilers to produce electricity, steam or both. It generally is lower in BTU heat content and higher in volatile matter than metallurgical coal.

Sulfur. One of the elements present in varying quantities in coal that contributes to environmental degradation when coal is burned. Sulfur dioxide is produced as a gaseous by-product of coal combustion.

Surface mine. A mine in which the coal lies near the surface and can be extracted by removing the covering layer of soil (see “Overburden”).

Thermal coal. See definition for *Steam coal*.

Tons. A “short” or net ton is equal to 2,000 pounds. A “long” or British ton is equal to 2,240 pounds; a “metric” ton (or “tonne”) is approximately 2,205 pounds. Tonnage amounts in this prospectus are stated in short tons, unless otherwise indicated.

Unassigned reserves. Coal that is likely to be mined in the future, but which is not considered *Assigned reserves*.

Underground mine. Also known as a “deep” mine. Usually located several hundred feet below the earth’s surface, an underground mine’s coal is removed mechanically and transferred by shuttle car and conveyor to the surface.

Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion and analysis provides a narrative of our results of operations and financial condition for the three months ended March 31, 2018 and 2017. The following discussion and analysis should be read in conjunction with our Condensed Consolidated Financial Statements and related notes included elsewhere in this report and our Consolidated Financial Statements and related notes for the year ended December 31, 2017.

CAUTIONARY NOTE REGARDING FORWARD LOOKING STATEMENTS

This report includes statements of our expectations, intentions, plans and beliefs that constitute “forward-looking statements”. These statements, which involve risks and uncertainties, relate to analyses and other information that are based on forecasts of future results and estimates of amounts not yet determinable and may also relate to our future prospects, developments and business strategies. We have used the words “anticipate”, “believe”, “could”, “estimate”, “expect”, “intend”, “may”, “plan”, “predict”, “project”, “should” and similar terms and phrases, including references to assumptions, in this report to identify forward-looking statements. These forward-looking statements are made based on expectations and beliefs concerning future events affecting us and are subject to uncertainties and factors relating to our operations and business environment, all of which are difficult to predict and many of which are beyond our control, that could cause our actual results to differ materially from those matters expressed in or implied by these forward-looking statements.

The following factors are among those that may cause actual results to differ materially from our forward-looking statements:

- the timing of the completion of the Mergers;
- uncertainty of the expected financial performance of the company following completion of the proposed Mergers with Holdings and ANR;
- the failure of the Alpha Companies' stockholders to approve the transaction;
- changes in the company's or the Alpha Companies' business during the period between now and the completion of the Mergers might have adverse impacts on the company following the merger;
- the ability to obtain regulatory approvals of the transaction on the proposed terms and schedule;
- our liquidity, results of operations and financial condition;
- depressed levels or declines in coal prices;
- worldwide market demand for coal, electricity and steel, including demand for U.S. coal exports, and competition in coal markets;
- utilities switching to alternative energy sources such as natural gas, renewables and coal from basins where we do not operate;
- reductions or increases in customer coal inventories and the timing of those changes;
- our production capabilities and costs;
- inherent risks of coal mining beyond our control;
- changes in, interpretations of, or implementations of domestic or international tax or other laws and regulations, including the Tax Cuts and Jobs Act and its related regulations.
- changes in domestic or international environmental laws and regulations, and court decisions, including those directly affecting our coal mining and production, and those affecting our customers' coal usage, including potential climate change initiatives;
- our relationships with, and other conditions affecting, our customers, including the inability to collect payments from our customers if their creditworthiness declines;
- changes in, renewal or acquisition of, terms of and performance of customers under coal supply arrangements and the refusal by our customers to receive coal under agreed contract terms;
- our ability to obtain, maintain or renew any necessary permits or rights, and our ability to mine properties due to defects in title on leasehold interests;
- attracting and retaining key personnel and other employee workforce factors, such as labor relations;
- funding for and changes in employee benefit obligations;
- cybersecurity attacks or failures, threats to physical security, extreme weather conditions or other natural disasters;
- reclamation and mine closure obligations;
- our assumptions concerning economically recoverable coal reserve estimates;
- our ability to negotiate new United Mine Workers of America wage agreements on terms acceptable to us, increased unionization of our workforce in the future, and any strikes by our workforce;
- disruptions in delivery or changes in pricing from third party vendors of key equipment and materials that are necessary for our operations, such as diesel fuel, steel products, explosives and tires;
- inflationary pressures on supplies and labor and significant or rapid increases in commodity prices;

- railroad, barge, truck and other transportation availability, performance and costs;
- disruption in third party coal supplies;
- the consummation of financing or refinancing transactions, acquisitions or dispositions and the related effects on our business and financial position;
- our indebtedness and potential future indebtedness;
- our ability to generate sufficient cash or obtain financing to fund our business operations; and
- our ability to obtain or renew surety bonds on acceptable terms or maintain our current bonding status.

When considering these forward-looking statements, you should keep in mind the cautionary statements in this report. We do not undertake any responsibility to release publicly any revisions to these forward-looking statements to take into account events or circumstances that occur after the date of this report. Additionally, we do not undertake any responsibility to update you on the occurrence of any unanticipated events, which may cause actual results to differ from those expressed or implied by the forward-looking statements contained in this report.

Non-GAAP Financial Measures

The discussion below contains “non-GAAP financial measures.” These are financial measures which either exclude or include amounts that are not excluded or included in the most directly comparable measures calculated and presented in accordance with generally accepted accounting principles in the United States (“GAAP”). Specifically, we make use of the non-GAAP financial measure “Adjusted EBITDA.” Adjusted EBITDA does not purport to be an alternative to net income (loss) as a measure of operating performance. The presentation of this measure should not be considered in isolation, or as a substitute for analysis of our results as reported under GAAP.

Management uses non-GAAP financial measures to supplement GAAP results to provide a more complete understanding of the factors and trends affecting the business than GAAP results alone. Because not all companies use identical calculations, the presentations of these measures may not be comparable to other similarly titled measures of other companies and can differ significantly from company to company depending on long-term strategic decisions regarding capital structure, the tax jurisdictions in which companies operate, and capital investments.

Formation

On August 3, 2015, Alpha filed voluntary petitions for relief under Chapter 11 of the U.S. Bankruptcy Code in the United States Bankruptcy Court for the Eastern District of Virginia. Alpha pursued a reorganization plan under which certain expenses were incurred and settlements negotiated. The Bankruptcy Court approved Alpha’s Plan of Reorganization on July 7, 2016 and Alpha emerged from bankruptcy on July 26, 2016.

Contura was incorporated in the State of Delaware on June 10, 2016 to acquire and operate certain of Alpha’s core coal operations, as part of the Alpha Restructuring. On July 26, 2016, a consortium of former Alpha creditors acquired our common stock in exchange for a partial release of their creditor claims pursuant to the Alpha Restructuring. Furthermore, pursuant to an asset purchase agreement between Contura and Alpha, we purchased certain former core coal operations of Alpha.

Overview

We are a large-scale provider of met and steam coal to a global customer base, operating high-quality, cost-competitive coal mines across two major U.S. coal basins (CAPP and NAPP) along with a robust Trading and Logistics business. As of March 31, 2018, our operations consisted of eight active mines and four coal preparation and load-out facilities, with approximately 1,800 employees. We produce, process and sell steam coal and met coal from operations located in Virginia, West Virginia and Pennsylvania. We also sell coal produced by others, some of which is processed and/or blended with coal produced from our mines prior to resale, with the remainder purchased for resale by our trading operations. As of December 31, 2017, we had 742.7 million tons of reserves, including 491.3 million tons of proven reserves and 251.4 million tons of probable reserves.

We were formed to acquire and operate certain of Alpha’s former core coal operations, as part of the Alpha Restructuring. We began operations on July 26, 2016, with mining complexes in NAPP (including the Cumberland mine complex), the PRB (the Belle Ayr and Eagle Butte complexes), and three CAPP mining complexes (the Nicholas mine complex in Nicholas County, West Virginia, and the McClure and Toms Creek mine complexes in Virginia). We also acquired Alpha’s 40.6% interest in the DTA coal export terminal in eastern Virginia, and on March 31, 2017, we acquired a portion of another partner’s ownership stake and increased our interest to 65.0%. Through the Acquisition, Contura acquired a significant reserve base. On December 8, 2017, the Company closed a transaction to sell the Eagle Butte and Belle Ayr mines located in the PRB,

Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. The historical information in the accompanying Notes to the Condensed Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Condensed Consolidated Financial Statements. See Note 2 for further information on discontinued operations.

For the three months ended March 31, 2018 and 2017, sales of steam coal were 1.3 million tons and 2.2 million tons, respectively, and accounted for approximately 35% and 50%, respectively, of our coal sales volume and sales of met coal, which generally sells at a premium over steam coal, were 2.5 million tons and 2.2 million tons, respectively, and accounted for approximately 65% and 50%, respectively, of our coal sales volume. These numbers include sales from our Trading and Logistics business.

Our sales of steam coal were made primarily to large utilities and industrial customers throughout the U.S., and our sales of met coal were made primarily to steel companies in the northeastern and midwestern regions of the U.S. and in several countries in Europe, Asia and the Americas. For the three months ended March 31, 2018 and 2017, approximately 88% and 75%, respectively, of our total coal revenues, including freight and handling revenues, were derived from coal sales made to customers outside the United States.

In addition, we generate other revenues from equipment sales, rentals, terminal and processing fees, coal and environmental analysis fees, royalties and the sale of natural gas. We also record freight and handling fulfillment revenue within coal revenues for freight and handling services provided in delivering coal to certain customers, which are a component of the contractual selling price.

Our primary expenses are operating supply costs, repair and maintenance expenditures, cost of purchased coal, royalties, wages and benefits, post-employment benefits, freight and handling costs, and taxes incurred in selling our coal. Historically, our cost of coal sales per ton is lower for sales of our produced and processed coal than for sales of purchased coal that we do not process prior to resale.

We have three reportable segments: CAPP Operations, NAPP Operations and Trading and Logistics Operations. CAPP consists of seven active mines, including two mines in Virginia operated by third-party contractors, four mines operated by us in Virginia and one mine operated by us in West Virginia. CAPP Operations also include two preparation plants in Virginia, one preparation plant in West Virginia, as well as expenses associated with certain closed mines. NAPP consists of one active mine in Pennsylvania and one preparation plant, as well as expenses associated with one closed mine. The Trading and Logistics segment focuses primarily on coal trading and coal terminal facility services. Our All Other category includes general corporate overhead and corporate assets and liabilities, the elimination of certain intercompany activity and our discontinued operations.

Business Developments

Sale of PRB Operations

On December 8, 2017, we closed a transaction with Blackjewel L.L.C. (“Buyer”) to sell the Eagle Butte and Belle Ayr mines located in the Power River Basin (“PRB”). During the permit transfer period, we will maintain the required reclamation bonds and related collateral. Once the permits have been transferred, we estimate approximately \$24.0 million comprised of short-term restricted cash and short-term deposits will be returned to operating cash. If the permit transfer process is not completed as expected, it could have material, adverse effects on us.

The PRB operations results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. The historical information in the accompanying Notes to the Condensed Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Condensed Consolidated Financial Statements. The discontinued operations include our former PRB segment. To conform with the Condensed Consolidated Financial Statements and accompanying Notes, the former PRB segment information for the discontinued operation has been eliminated. See Note 2 for further information on discontinued operations. The following tables summarize certain financial information relating to the PRB discontinued operating results which are reported within the All Other segment that have been derived from our Condensed Consolidated Financial Statements for the three months ended March 31, 2018 and 2017.

Revenues

(In thousands, except for per ton data)	Three Months Ended March 31,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Coal revenues:				
Steam	\$ —	\$ 95,852	\$ (95,852)	(100.0)%
Tons sold:				
Steam	—	8,777	(8,777)	(100.0)%
Coal sales realization per ton:				
Steam	\$ —	\$ 10.92	\$ (10.92)	(100.0)%

Costs and Expenses

(In thousands, except for per ton data)	Three Months Ended March 31,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Cost of coal sales:	\$ —	\$ 83,570	\$ (83,570)	(100.0)%
Tons sold:	—	8,777	(8,777)	(100.0)%
Cost of coal sales per ton:	\$ —	\$ 9.52	\$ (9.52)	(100.0)%
Coal margin per ton ⁽¹⁾ :	\$ —	\$ 1.40	\$ (1.40)	(100.0)%

⁽¹⁾ Coal margin per ton is calculated as coal sales realization per ton less cost of coal sales per ton for our reportable segments.

Per terms of the Back-to-Back Coal Supply Agreements, we are required to purchase and sell coal in the remainder of 2018, 2019, and 2020 totaling \$28.4 million \$10.4 million, and \$9.2 million, respectively. For the three months ended March 31, 2018, we purchased and sold 3.2 million tons, totaling \$33.7 million, under the Back-to-Back Coal Supply Agreements.

Mergers with Alpha Natural Resources Holdings, Inc. and ANR, Inc.

On April 29, 2018, the company and two of its subsidiaries entered into an agreement and plan of merger with Alpha Natural Resources Holdings, Inc. (“Holdings”) and ANR, Inc. (“ANR”, and, together with Holdings, “the Alpha Companies”) (the “Merger Agreement”). Pursuant to the transaction structure alternatives available under the Merger Agreement, the company expects that Holdings and ANR will each merge with and into one of two newly-formed subsidiaries of the company (the “Mergers”), with Holdings and ANR continuing as the surviving corporations of the Mergers and as wholly owned subsidiaries of the company. As a result of the Mergers and subject to the terms and conditions of the Merger Agreement, each outstanding share of Class C-1 common stock of ANR (“Class C-1 Common Stock”), and each outstanding share of common stock of Holdings (“Holdings Common Stock”), will be converted into the right to receive 0.4071 shares of the company’s common stock. Each outstanding share of Class C-2 common stock of ANR (“Class C-2 Common Stock”) (held exclusively by Holdings) will be canceled in connection with the Mergers. The Mergers are expected to close in the third calendar quarter of 2018.

The Merger Agreement and the Mergers have been approved by the boards of directors of ANR and Holdings. Stockholders of ANR and Holdings will be asked to vote to approve the transactions contemplated by the Merger Agreement at special meetings that are expected to be held during the third quarter of 2018. The closing of the Mergers is contingent upon approval by the holders of not less than a majority of the outstanding shares of Holdings Common Stock entitled to vote on the Mergers, and approval by the holders of outstanding shares of Class C-1 Common Stock and Class C-2 Common Stock, voting together as a single class, representing a majority of the votes entitled to be cast by all outstanding shares of Class C-1 Common Stock and Class C-2 Common Stock (collectively, “Alpha Stockholder Approval”). Subject to certain limitations set forth in the Merger Agreement, the boards of directors of Holdings and ANR are required to recommend that the stockholders of Holdings and ANR approve the Mergers and related transactions.

The Merger Agreement and the Mergers have been approved by the company’s board of directors. In connection with the Mergers, the company’s board of directors and the holders of a majority of the outstanding shares of company common stock have approved (i) an amendment and restatement of the company’s current certificate of incorporation, primarily to reflect (a) an increase of the number of authorized shares of company common stock (which is necessary to provide the company with sufficient authorized shares to issue as consideration in the Mergers), (b) the adoption of provisions more customary for publicly owned companies and (c) stylistic and other non-substantive changes, (ii) the entry by the company into indemnification agreements with directors and officers of the company and (iii) the company’s 2018 Long-Term Incentive Plan,

including the authorization of the company to reserve up to 1,000,000 shares of company common stock for issuance under such plan. The amendment and restatement of the company's current certificate of incorporation will become effective immediately prior to the closing of the transactions contemplated by the Merger Agreement. The approval of the company's entry into indemnification agreements with directors and officers of the company is contingent upon, and effective contemporaneously with, the effectiveness of the registration statement on Form S-4 to be filed in connection with the transactions contemplated by the Merger Agreement (the "Form S-4").

Effective as of the closing of the Mergers, the size of the company's board of directors will be expanded to nine directors. Five board seats will be filled by the current company directors and four board seats will be filled by John E. Lushefski, Daniel J. Geiger, David J. Stetson and Harvey L. Tepner (who are each current members of the board of directors of Holdings), unless Messrs. Lushefski, Geiger or Tepner fail to meet applicable independence standards as of the closing, in which case such individual will not be appointed to the company board of directors at closing. If any of Messrs. Lushefski, Geiger, Stetson or Tepner is unable to or has declined to serve on the company board of directors prior to the closing (or is not appointed to the company's board of directors because he failed to meet applicable independence standards as of the closing), Alpha Holdings may designate a replacement subject to the approval of the company's board of directors, which cannot be unreasonably withheld (unless such replacement fails to meet applicable independence standards, in which case the company's board of directors may withhold its approval at its reasonable discretion exercised in good faith). The company has also agreed that following the closing of the Mergers and through the completion of the company's 2019 annual meeting of stockholders, (i) the size of the company's board of directors may not be changed except to reduce the size of the board in the event of any resignation or other cessation of service of one or more director and (ii) the company's board of directors must, subject to its fiduciary duties, nominate for election, unanimously recommend for election and solicit proxies in favor of the election of, each of the Alpha Holdings designees to the company's board of directors.

The closing of the Mergers is subject to customary closing conditions, including but not limited to (i) expiration or termination of the applicable waiting period under the Hart-Scott-Rodino Antitrust Improvements Act of 1976, as amended, (ii) the receipt of Alpha Stockholder Approval, (iii) the effectiveness of the Form S-4, (iv) listing of the company's common stock on the New York Stock Exchange ("NYSE"), (v) no more than 10% of the Alpha Companies' stockholders exercising appraisal rights in connection with the Mergers (disregarding for such purposes any Alpha Companies stockholder who also holds more than 1% of the company's outstanding common stock at the time of the Alpha Companies' special meetings) (the "Appraisal Rights Condition") and (vi) the Alpha Companies obtaining certain third party consents in form and substance reasonably satisfactory to the company.

The company and the Alpha Companies each made customary representations, warranties and covenants in the Merger Agreement, including, among others, covenants by each of the company and the Alpha Companies to, subject to certain exceptions, conduct its business in the ordinary course of business and consistent with past practice. In particular, among other restrictions and subject to certain exceptions, the company agreed to generally refrain from acquiring new businesses, incurring new indebtedness, repurchasing shares or paying dividends, making capital expenditures in excess of budgeted amounts and entering into new material contracts or commitments outside the normal course of business, without the consent of the Alpha Companies, during the period between the execution of the Merger Agreement and the consummation of the Mergers.

The Merger Agreement also contains certain restrictions on the Alpha Companies' ability to, among other things, (i) directly or indirectly initiate, solicit or knowingly encourage certain acquisition proposals or any inquiry, proposal or offer that may reasonably be expected to lead to such an acquisition proposal, (ii) approve or recommend certain acquisition proposals, or enter into any agreement relating to such an acquisition proposal, or enter into any agreement requiring the Alpha Companies to abandon the transactions under the Merger Agreement or (iii) take any action to exempt any third party from any takeover laws. The foregoing restrictions are subject to exceptions under the Merger Agreement which would apply in the event the board of directors of Holdings or ANR determines in good faith that the failure to take an action would be reasonably likely to be inconsistent with its fiduciary duties and certain other requirements are satisfied. The restrictions described in this paragraph and the Alpha Companies' related obligations under the Merger Agreement are referred to herein as the "Alpha Non-Solicitation Obligations".

The Merger Agreement may be terminated by mutual agreement of the parties, or by either party if (i) a final and non-appealable order, decree or ruling has been issued that prohibits the transactions contemplated by the Merger Agreement (unless a breach by such party is the primary cause of the order, decree or ruling), (ii) the Mergers are not consummated on or before the eight-month anniversary of the date of the Merger Agreement (unless a breach of such party is the primary cause of the failure for the closing to occur), (iii) Alpha Stockholder Approval is not obtained at the Alpha Companies' special meetings (provided that the Alpha Companies may not terminate the agreement in such circumstances if it has breached its obligations in connection with holding such meetings), or (iv) the representations, warranties or covenants of the other party are breached such that there is a failure of the related closing condition (subject to a 30-day cure period).

The Merger Agreement may be terminated by the company if the board of directors of ANR or Holdings changes its recommendation that the stockholders of the Alpha Companies vote in favor of the Mergers or the Alpha Companies have failed to perform in any material respect the Alpha Non-Solicitation Obligations.

The Merger Agreement may be terminated by the Alpha Companies (i) prior to the 25th business day after the date of the Merger Agreement, if the amendment and restatement of the company's current certificate of incorporation has not been approved by (a) the beneficial owners of a majority of the outstanding shares of company common stock within three business days of the date of the Merger Agreement or (b) the record holders of a majority of the outstanding shares of company common stock within 20 business days of the date of the Merger Agreement, (ii) if the company has entered into an agreement committing to consummate a transaction that would result in a change of control of the company or (iii) if following the Alpha Companies' special meetings, the Appraisal Rights Condition has not been satisfied, and the company has not waived such condition within five business days of a written request from the Alpha Companies.

The Alpha Companies are required to pay the company a termination fee of \$19.0 million if (i) the company terminates the Merger Agreement because (a) there has been a material breach of the Alpha Non-Solicitation Obligations or (b) the board of directors of Holdings or ANR changes its recommendation that its stockholders vote in favor of the Mergers, (ii) the company or the Alpha Companies terminate the Merger Agreement because the Alpha Companies' stockholders do not approve the Mergers at the Alpha Companies' special meetings and the company would have been able to terminate the Merger Agreement in connection with the matters described in clause (i) or (iii) (a) an acquisition proposal meeting certain conditions set forth in the Merger Agreement is made (and not withdrawn) with respect to the Alpha Companies, (b) thereafter (A) the company or the Alpha Companies terminate the Merger Agreement because (x) Alpha Stockholder Approval is not obtained at the Alpha Companies' special meetings or (y) the transactions contemplated by the Merger Agreement have not been consummated by the eight-month anniversary of the date of the Merger Agreement or (B) the company terminates the Merger Agreement because the representations, warranties or covenants of the Alpha Companies are breached such that there is a failure of the related closing condition and (c) within 12 months after the date of the termination, the Alpha Companies enters into a definitive agreement to consummate an acquisition proposal or consummates any acquisition proposal meeting certain requirements set forth in the Merger Agreement.

The Alpha Companies are also required to reimburse the company for the company's fees and expenses incurred in connection with the transactions contemplated by the Merger Agreement if the Merger Agreement is terminated because Alpha Stockholder Approval is not obtained at the Alpha Companies' special meetings. This reimbursement is limited to \$9.0 million, which would be credited against the aforementioned \$19.0 million termination fee.

The company is required to pay the Alpha Companies a termination fee of \$19.0 million if (i) the Merger Agreement is terminated because an order, decree or ruling issued under antitrust law prohibits the consummation of the transactions contemplated by the Merger Agreement, or (ii) the Merger Agreement is terminated because the Mergers have not closed by the eight month anniversary of the Merger Agreement and all closing conditions are satisfied except for closing conditions relating to matters arising under antitrust laws.

FirstEnergy Generation, LLC Coal Contract

FirstEnergy Solutions Corp. (FES) and certain subsidiaries filed a motion with the United States Bankruptcy Court for the Northern District of Ohio of the Eastern Division to reject an existing coal contract between FirstEnergy Generation, LLC and the Company on May 18, 2018. As a result of this filing, we have accelerated the amortization of the related above-market coal sales contract asset resulting in \$5.7 million of accelerated amortization of acquired intangibles expense for the three months ended March 31, 2018.

Factors Affecting Our Results of Operations

Sales Volume. We earn revenues primarily through the sale of coal produced at our operations and resale of coal purchased from third parties. During the three months ended March 31, 2018, we sold 1.0 million tons of met coal from CAPP and NAPP, 1.5 million tons of met coal from our Trading and Logistics business, and 1.3 million tons of steam coal from CAPP and NAPP. During the three months ended March 31, 2017, we sold 1.1 million tons of met coal from CAPP and NAPP, 1.1 million tons of met coal from our Trading and Logistics business, and 2.2 million tons of steam coal from CAPP and NAPP.

Sales Agreements

We manage our commodity price risk for coal sales through the use of coal supply agreements. As of May 8, 2018 (with the exception of the removal of FirstEnergy Generation, LLC tons effective May 18, 2018), we had sales commitments for

approximately 6.3 million tons of NAPP coal for 2018, 96% of which is priced at an average realized price per ton of \$41.84, and 3.2 million tons of CAPP coal for 2018, 61% of which is priced at an average realized price per ton of \$128.20.

Realized Pricing. Our realized price per ton of coal is influenced by many factors that vary by region, including (i) coal quality, which includes energy (heat content), sulfur, ash, volatile matter and moisture content; (ii) differences in market conventions concerning transportation costs and volume measurement; and (iii) regional supply and demand.

- **Coal Quality.** The energy content or heat value of steam coal is a significant factor influencing coal prices as higher energy coal is more desirable to consumers and typically commands a higher price in the market. The heat value of coal is commonly measured in British thermal units or the amount of heat needed to raise the temperature of one pound of water by one degree Fahrenheit. Coal from the eastern and midwest regions of the United States tends to have a higher heat value than coal found in the western United States. Coal volatility is a significant factor influencing met coal pricing as coal with a lower volatility has historically been more highly valued and typically commands a higher price in the market. The volatility refers to the loss in mass, less moisture, when coal is heated in the absence of air. The volatility of met coal determines the percentage of feed coal that actually becomes coke, known as coke yield, with lower volatility producing a higher coke yield.
- **Market Conventions.** Coal sales contracts are priced according to conventions specific to the market into which such coal is to be sold. Our domestic sales contracts are typically priced free on board (“FOB”) at our mines and on a short ton basis. Our international sales contracts are typically priced FOB at the shipping port from which such coal is delivered and on a metric ton basis. Accordingly, for international sales contracts, we typically bear the cost of transportation from our mine complexes to the applicable outbound shipping port, and our coal sales realization per ton calculation reflects the conversion of such tonnage from metric tons into short tons, as well as the elimination of the freight and handling fulfillment component of coal sales revenue. In addition, for domestic sales contracts, as customers typically bear the cost of transportation from our mine complexes, our operations located further away from the end user of the coal may command lower prices.
- **Regional Supply and Demand.** Our realized price per ton is influenced by market forces of the regional market into which such coal is to be sold. Market pricing may vary according to region and lead to different discounts or premiums to the most directly comparable benchmark price for such coal product.

Costs. Our results of operations are dependent upon our ability to improve productivity and control costs. Our primary expenses are for operating supply costs, repair and maintenance expenditures, cost of purchased coal, royalties, current wages and benefits, freight and handling costs and taxes incurred in selling our coal. Principal goods and services we use in our operations include maintenance and repair parts and services, electricity, fuel, roof control and support items, explosives, tires, conveyance structure, ventilation supplies and lubricants.

In addition, our cost of coal sales includes idle mine costs, which are spread over total sales volume by basin and forecasted by reference to upcoming reclamation obligations and historical cost trends. The following table shows our cost of coal sales and idle mine costs. We calculate adjusted cost of coal sales as cost of coal sales less idle mine costs.

	Three Months Ended March 31, 2018 (Actual)	Three Months Ended March 31, 2017 (Actual)
	Per Ton	Per Ton
CAPP		
Cost of coal sales	\$ 82.04	\$ 74.75
Idle mine costs	\$ 2.32	\$ 1.75
Adjusted cost of coal sales	\$ 79.72	\$ 73.00
NAPP		
Cost of coal sales	\$ 38.72	\$ 29.54
Idle mine costs	\$ 0.94	\$ 0.71
Adjusted cost of coal sales	\$ 37.78	\$ 28.83

Our management strives to aggressively control costs and improve operating performance to mitigate external cost pressures. We experience volatility in operating costs related to fuel, explosives, steel, tires, contract services and healthcare, among others, and take measures to mitigate the increases in these costs at all operations. We have a centralized sourcing group

for major supplier contract negotiation and administration, for the negotiation and purchase of major capital goods, and to support the business units. We promote competition between suppliers and seek to develop relationships with suppliers that focus on lowering our costs. We seek suppliers who identify and concentrate on implementing continuous improvement opportunities within their area of expertise. To the extent upward pressure on costs exceeds our ability to realize sales increases, or if we experience unanticipated operating or transportation difficulties, our operating margins would be negatively impacted. We may also experience difficult geologic conditions, delays in obtaining permits, labor shortages, unforeseen equipment problems, and unexpected shortages of critical materials such as tires, fuel and explosives that may result in adverse cost increases and limit our ability to produce at forecasted levels.

Results of Operations

Three Months Ended March 31, 2018 Compared to the Three Months Ended March 31, 2017

The following tables summarize certain financial information relating to our operating results that have been derived from our Condensed Consolidated Financial Statements for the three months ended March 31, 2018 and 2017.

Revenues

(In thousands, except for per ton data)	Three Months Ended March 31,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Revenues:				
Coal revenues:				
Steam	\$ 56,049	\$ 91,796	\$ (35,747)	(38.9)%
Met	346,650	321,242	25,408	7.9 %
Freight and handling fulfillment revenues	75,666	60,223	15,443	25.6 %
Other revenues	3,967	1,858	2,109	113.5 %
Total revenues	<u>\$ 482,332</u>	<u>\$ 475,119</u>	<u>\$ 7,213</u>	<u>1.5 %</u>
Tons sold:				
Steam	1,336	2,159	(823)	(38.1)%
Met	2,481	2,150	331	15.4 %
Total	<u>3,817</u>	<u>4,309</u>	<u>(492)</u>	<u>(11.4)%</u>
Coal sales realization per ton:				
Steam	\$ 41.95	\$ 42.52	\$ (0.57)	(1.3)%
Met	\$ 139.72	\$ 149.41	\$ (9.69)	(6.5)%
Average	\$ 105.50	\$ 95.85	\$ 9.65	10.1 %

(In thousands, except for per ton data)	Three Months Ended March 31,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Coal revenues ⁽¹⁾ :				
CAPP Operations	\$ 134,569	\$ 148,731	\$ (14,162)	(9.5)%
NAPP Operations	61,458	97,654	(36,196)	(37.1)%
Trading and Logistics Operations	206,672	166,653	40,019	24.0 %
Total coal revenues	\$ 402,699	\$ 413,038	\$ (10,339)	(2.5)%
Tons sold:				
CAPP Operations	954	1,058	(104)	(9.8)%
NAPP Operations	1,414	2,200	(786)	(35.7)%
Trading and Logistics Operations	1,449	1,051	398	37.9 %
Coal sales realization per ton ⁽¹⁾ :				
CAPP Operations	\$ 141.06	\$ 140.58	\$ 0.48	0.3 %
NAPP Operations	\$ 43.46	\$ 44.39	\$ (0.93)	(2.1)%
Trading and Logistics Operations	\$ 142.63	\$ 158.57	\$ (15.94)	(10.1)%
Average	\$ 105.50	\$ 95.85	\$ 9.65	10.1 %

⁽¹⁾ Does not include \$75.7 million of freight and handling fulfillment revenues for the three months ended March 31, 2018.

Total revenues. Total revenues increased \$7.2 million, or 1.5%, for the three months ended March 31, 2018 compared to the prior year period. The increase in total revenues was due to increased freight and handling fulfillment revenues of \$15.4 million and increased other revenues of \$2.1 million, partially offset by decreased coal revenues of \$10.3 million.

Coal revenues. Coal revenues decreased \$10.3 million, or 2.5%, for the three months ended March 31, 2018 compared to the prior year period. The decrease in coal revenues was due to decreased revenues of 9.5% and 37.1% for CAPP and NAPP, respectively, partially offset by increased revenues of 24.0% for our Trading and Logistics Operations.

The decrease in CAPP revenues was primarily due to lower coal sales volume of 0.1 million tons partially offset by increases in coal sales realization of \$0.48 per ton. The decrease in NAPP revenues was primarily due to lower coal sales volumes of 0.8 million tons and lower coal sales realization of \$0.93 per ton. The increase in Trading and Logistics coal revenues was primarily due to higher sales volumes of 0.4 million tons, partially offset by lower coal sales realization of \$15.94 per ton.

Our sales mix of met coal and steam coal based on volume was 65.0% and 35.0%, respectively, for the three months ended March 31, 2018 compared to 49.9% and 50.1%, respectively, in the prior year period. Our sales mix of met coal and steam coal based on coal revenues, excluding freight and handling fulfillment revenues, was 86.1% and 13.9%, respectively, for the three months ended March 31, 2018 compared to 77.8% and 22.2%, respectively, for the prior year period.

Steam coal volumes decreased 0.8 million tons due to increased longwall moves during the comparable period, and average coal realization per ton decreased \$0.57. Met coal volumes increased 0.3 million tons due to increased export sales for our Trading and Logistics Operations during the comparable period, and average coal realization per ton decreased \$9.69. The decrease in coal revenues consisted of decreased steam coal revenue of \$35.7 million, or 38.9%, partially offset by increased met coal revenue of \$25.4 million, or 7.9%.

Freight and handling fulfillment revenues were \$75.7 million for the three months ended March 31, 2018, an increase of \$15.4 million, or 25.6%, compared to the prior year period. This increase was primarily due to increased shipments by rail car during the comparable period.

Other revenues. Other revenues were \$4.0 million for the three months ended March 31, 2018, an increase of \$2.1 million, or 113.5%, compared to the prior year period, primarily attributable to a \$1.6 million increase in rail transportation rebates and a \$0.7 million increase in coal royalty revenues.

Costs and Expenses

	Three Months Ended March 31,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
<i>(In thousands, except for per ton data)</i>				
Cost of coal sales (exclusive of items shown separately below)	\$ 297,538	\$ 284,405	\$ 13,133	4.6 %
Freight and handling costs	75,666	60,223	15,443	25.6 %
Depreciation, depletion and amortization	11,588	8,849	2,739	31.0 %
Amortization of acquired intangibles, net	10,206	19,658	(9,452)	(48.1)%
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	19,157	13,829	5,328	38.5 %
Merger related costs	460	—	460	100.0 %
Secondary offering costs	—	942	(942)	(100.0)%
Total other operating (income) loss:				
Mark-to-market adjustment for acquisition-related obligations	—	(4,357)	4,357	100.0 %
Gain (loss) on settlement of acquisition-related obligations	(292)	—	(292)	(100.0)%
Other expenses	193	—	193	100.0 %
Total costs and expenses	414,516	383,549	30,967	8.1 %
Other (expense) income:				
Interest expense	(9,205)	(11,276)	(2,071)	(18.4)%
Interest income	131	31	100	322.6 %
Loss on early extinguishment of debt	—	(38,701)	38,701	100.0 %
Miscellaneous income, net	(376)	(1,186)	(810)	(68.3)%
Total other expense, net	(9,450)	(51,132)	(41,682)	(81.5)%
Income tax expense	(66)	(9,482)	(9,416)	(99.3)%
Net income from continuing operations	\$ 58,300	\$ 30,956	\$ 27,344	88.3 %
Cost of coal sales:				
CAPP Operations	\$ 78,267	\$ 79,087	\$ (820)	(1.0)%
NAPP Operations	\$ 54,747	\$ 64,979	\$ (10,232)	(15.7)%
Trading and Logistics Operations	\$ 164,524	\$ 140,827	\$ 23,697	16.8 %
Tons sold:				
CAPP Operations	954	1,058	(104)	(9.8)%
NAPP Operations	1,414	2,200	(786)	(35.7)%
Trading and Logistics Operations	1,449	1,051	398	37.9 %
Cost of coal sales per ton:				
CAPP Operations	\$ 82.04	\$ 74.75	\$ 7.29	9.8 %
NAPP Operations	\$ 38.72	\$ 29.54	\$ 9.18	31.1 %
Trading and Logistics Operations	\$ 113.54	\$ 133.99	\$ (20.45)	(15.3)%
Coal margin per ton ⁽¹⁾ :				
CAPP Operations	\$ 59.02	\$ 65.83	\$ (6.81)	(10.3)%
NAPP Operations	\$ 4.74	\$ 14.85	\$ (10.11)	(68.1)%
Trading and Logistics Operations	\$ 29.09	\$ 24.58	\$ 4.51	18.3 %

⁽¹⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

Cost of coal sales. Cost of coal sales increased \$13.1 million, or 4.6%, for the three months ended March 31, 2018 compared to the prior year period. The increase was primarily driven by increased purchases of tons associated with our Trading and Logistics Operations segment during the comparable period.

Freight and handling costs. Freight and handling costs increased \$15.4 million, or 25.6%, for the three months ended March 31, 2018 compared to the prior year period. This increase was primarily due to increased shipments by rail car during the comparable period.

Depreciation, depletion and amortization. Depreciation, depletion and amortization increased \$2.7 million, or 31.0%, for the three months ended March 31, 2018 compared to the prior year period. The increase in depreciation, depletion and amortization primarily related to increased purchases of machinery and equipment during the comparable period and increased asset development during the comparable period.

Amortization of acquired intangibles, net. Amortization of acquired intangibles, net decreased \$9.5 million, or 48.1%, for the three months ended March 31, 2018 compared to the prior year period. The decrease was primarily driven by the write-off of above-market coal sales contract assets during 2017 associated with the sale of PRB and certain other above-market coal sales contract assets being fully amortized as of December 31, 2017, partially offset by the accelerated amortization of acquired intangibles related to the above-market coal sales contract asset related to FirstEnergy Generation, LLC.

Selling, general and administrative. Selling, general and administrative expenses increased \$5.3 million, or 38.5% for the three months ended March 31, 2018 compared to the prior year period. The increase in selling, general and administrative expenses was driven primarily by increased severance related expense of \$2.5 million, increased stock compensation expense of \$3.2 million, and increased incentive pay of \$0.6 million. These increases were partially offset by decreases in professional service related expenses of \$1.8 million, primarily related to one time formation and offering costs incurred during the prior year period.

Acquisition-related obligations. The mark-to-market gain on acquisition-related obligations of \$4.4 million for the three months ended March 31, 2017 primarily consisted of a mark-to-market gain of \$4.6 million related to the Contingent Reclamation Funding Liability partially offset by a mark-to-market loss of \$0.4 million related to the Contingent Credit Support Commitment.

Secondary offering costs. The secondary offering costs of \$0.9 million recorded during the three months ended March 31, 2017 related to (i) legal fees for drafting the registration statement and other legal services directly related to the withdrawn offering and (ii) financial reporting advisory fees directly related to the withdrawn offering including preparation of the pro forma financial statements and other financial information included in the registration statement.

Interest expense. Interest expense decreased \$2.1 million, or 18.4%, for the three months ended March 31, 2018 compared to the prior year period, primarily due to lower interest costs associated with Company debt as a result of the prior year debt refinancing. See Note 7 for additional information.

Loss on early extinguishment of debt. The loss on early extinguishment of debt of \$38.7 million for the three months ended March 31, 2017 primarily related to a prepayment premium of \$22.5 million on the 10.00% Senior Secured First Lien Notes and the write-off of outstanding debt discounts of \$13.4 million on the 10.00% Senior Secured First Lien Notes and GUC Distribution Note in connection with the Credit Agreement entered into by the Company on March 17, 2017.

Income taxes. Income tax expense of \$0.1 million was recorded for the three months ended March 31, 2018 on income from continuing operations before income taxes of \$58.4 million. The effective tax rate is lower than the federal statutory rate of 21% primarily due to the impact of the percentage depletion allowance and the reduction in the valuation allowance, partially offset by the impact of state income taxes, net of federal tax impact.

Income tax expense of \$9.5 million was recorded for the three months ended March 31, 2017 on income from continuing operations before income taxes of \$40.4 million. The effective tax rate is lower than the federal statutory rate of 35% primarily due to the impact of the percentage depletion allowance and the reduction in the valuation allowance.

Segment Adjusted EBITDA

Segment Adjusted EBITDA for our reportable segments is a financial measure. This non-GAAP financial measure is presented as a supplemental measure and is not intended to replace financial performance measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies. Segment Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following tables presents a reconciliation of net income (loss) to Adjusted EBITDA for the three months ended March 31, 2018 and 2017:

Three Months Ended March 31, 2018					
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 49,860	\$ 3,115	\$ 32,552	\$ (27,227)	\$ 58,300
Interest expense	309	68	—	8,828	9,205
Interest income	(4)	(2)	—	(125)	(131)
Income tax expense	—	—	—	66	66
Depreciation, depletion and amortization	6,236	5,168	—	184	11,588
Merger related costs	—	—	—	460	460
Management restructuring costs ⁽¹⁾	—	—	—	2,659	2,659
Non-cash stock compensation expense ⁽²⁾	—	—	—	4,479	4,479
Gain on settlement of acquisition-related obligations	—	—	—	(292)	(292)
Accretion expense	1,519	941	—	—	2,460
Amortization of acquired intangibles, net	—	—	10,206	—	10,206
Adjusted EBITDA ⁽³⁾	\$ 57,920	\$ 9,290	\$ 42,758	\$ (10,968)	\$ 99,000

⁽¹⁾ Management restructuring costs are related to severance expense associated with senior management changes in the three months ended March 31, 2018.

⁽²⁾ The Company's Adjusted EBITDA calculation has been modified to add back non-cash stock compensation expense to align with industry peer group methodology.

⁽³⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, we are no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of (\$1,266) for the three months ended March 31, 2018.

Three Months Ended March 31, 2017					
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 64,367	\$ 30,284	\$ 5,669	\$ (69,364)	\$ 30,956
Interest expense	60	51	—	11,165	11,276
Interest income	(3)	—	—	(28)	(31)
Income tax expense	—	—	—	9,482	9,482
Depreciation, depletion and amortization	5,505	3,156	—	188	8,849
Non-cash stock compensation expense ⁽¹⁾	—	—	43	1,388	1,431
Mark-to-market adjustment - acquisition-related obligations	—	—	—	(4,357)	(4,357)
Secondary offering costs	—	—	—	942	942
Loss on early extinguishment of debt	—	—	—	38,701	38,701
Accretion expense	1,462	1,041	—	—	2,503
Amortization of acquired intangibles, net	—	—	19,658	—	19,658
Adjusted EBITDA ⁽²⁾	\$ 71,391	\$ 34,532	\$ 25,370	\$ (11,883)	\$ 119,410

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back non-cash stock compensation expense to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of \$16,315 for the three months ended March 31, 2017.

The following table summarizes Adjusted EBITDA for our three reportable segments and All Other category:

	Three Months Ended March 31,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
<i>(In thousands, except for per ton data)</i>				
Adjusted EBITDA				
CAPP Operations	\$ 57,920	\$ 71,391	\$ (13,471)	(18.9)%
NAPP Operations	\$ 9,290	\$ 34,532	\$ (25,242)	(73.1)%
Trading and Logistics Operations	\$ 42,758	\$ 25,370	\$ 17,388	68.5 %
All Other	\$ (10,968)	\$ (11,883)	\$ 915	7.7 %
Total	\$ 99,000	\$ 119,410	\$ (20,410)	(17.1)%

CAPP Coal Operations. Adjusted EBITDA decreased \$13.5 million, or 18.9%, for the three months ended March 31, 2018 compared to the prior year period. The decrease in Adjusted EBITDA was primarily due to decreased coal margin per ton of \$6.81. The decrease in coal margin per ton consisted of increased average cost of coal sales per ton of \$7.29, or approximately 9.8%, due primarily to increased labor and benefits costs and increased contract mining costs.

NAPP Coal Operations. Adjusted EBITDA decreased \$25.2 million, or 73.1%, for the three months ended March 31, 2018 compared to the prior year period. The decrease in Adjusted EBITDA was primarily due to decreased coal margin per ton of \$10.11. The decrease in coal margin per ton consisted of increased average cost of coal sales per ton of \$9.18, or approximately 31.1%, due primarily to increased longwall move expenses during the first quarter of 2018.

Trading and Logistics Operations. Adjusted EBITDA increased \$17.4 million, or 68.5%, for the three months ended March 31, 2018 compared to the prior year period. The increase in Adjusted EBITDA was primarily due to increased coal margin per ton of \$4.51. The increase in coal margin per ton consisted of decreased average cost of coal sales per ton of \$20.45, or approximately 15.3%, due primarily to decreased market pricing during the comparable period.

All Other category. Adjusted EBITDA increased \$0.9 million, or 7.7%, for the three months ended March 31, 2018 compared to the prior year period. The increase in Adjusted EBITDA was driven by decreases in professional service related expenses, which were partially offset by increases in incentive pay during the comparable period.

Liquidity and Capital Resources

Our primary liquidity and capital resource requirements stem from the cost of our coal production and purchases, our capital expenditures, our debt service, our reclamation obligations, our regulatory costs and settlements and associated costs. Our primary sources of liquidity are derived from sales of coal, our debt financing and miscellaneous revenues.

We believe that cash on hand and cash generated from our operations will be sufficient to meet our working capital requirements, anticipated capital expenditures, debt service requirements, acquisition-related obligations, and reclamation obligations for the next 12 months. We have relied on a number of assumptions in budgeting for our future activities. These include the costs for mine development to sustain capacity of our operating mines, our cash flows from operations, effects of regulation and taxes by governmental agencies, mining technology improvements and reclamation costs. These assumptions are inherently subject to significant business, political, economic, regulatory, environmental and competitive uncertainties, contingencies and risks, all of which are difficult to predict and many of which are beyond our control. We may need to raise additional funds more quickly if market conditions deteriorate; or one or more of our assumptions proves to be incorrect or if we choose to expand our acquisition, exploration, appraisal, or development efforts or any other activity more rapidly than we presently anticipate. We may decide to raise additional funds before we need them if the conditions for raising capital are favorable. We may seek to sell equity or debt securities or obtain additional bank credit facilities. The sale of equity securities could result in dilution to our stockholders. The incurrence of additional indebtedness could result in increased fixed obligations and additional covenants that could restrict our operations.

At March 31, 2018, we had total liquidity of \$185.8 million, including cash and cash equivalents of \$72.1 million and \$113.7 million of unused commitments available under the Asset-Based Revolving Credit Facility, subject to limitations described therein.

To secure our obligations under certain workers' compensation and reclamation-related bonds, we are required to provide cash collateral. At March 31, 2018, we had cash collateral in the amounts of \$53.9 million and \$15.2 million classified as short-term and long-term restricted cash and short-term and long-term deposits, respectively, on our balance sheet. Once the permits associated with the PRB transaction have been transferred, we estimate approximately \$24.0 million, comprised of short-term

restricted cash and short-term deposits, will be returned to operating cash. If the permit transfer process is not completed as expected, it could have material, adverse effects on us.

During the fourth quarter of 2017, we entered into an asset purchase agreement to sell a disposal group (comprised of property, plant and equipment and associated asset retirement obligations) at a preparation plant within our CAPP segment. As of March 31, 2018, assets and liabilities held for sale in the amounts of \$0.2 million and \$28.0 million, respectively, represent the fair value of the disposal group. Upon permit transfer, the transaction closed on April 2, 2018. We paid \$10.0 million in connection with the transaction, which was paid into escrow on March 27, 2018 and transferred to the buyer at the transaction close date, and will pay a series of additional cash payments in the aggregate amount of \$1.5 million, per the terms stated in the agreement, and estimate a gain on sale of approximately \$16.4 million.

Cash Flows

Cash, cash equivalents, and restricted cash decreased by \$68.0 million and increased by \$118.6 million over the three months ended March 31, 2018 and 2017, respectively. The net change in cash, cash equivalents, and restricted cash was attributable to the following:

	Three Months Ended March 31,	
	2018	2017
<i>Cash flows (in thousands):</i>		
Net cash (used in) provided by operating activities	\$ (30,335)	\$ 142,193
Net cash used in investing activities	(31,348)	(27,101)
Net cash (used in) provided by financing activities	(6,309)	3,547
Net (decrease) increase in cash, cash equivalents, and restricted cash	<u>\$ (67,992)</u>	<u>\$ 118,639</u>

Operating Activities

Net cash flows from operating activities consist of net income (loss) adjusted for non-cash items, such as depreciation, depletion and amortization, amortization of acquired intangibles, net, accretion of acquisition-related obligations discount, mark-to-market adjustments for warrants derivative liability and acquisition related obligations, equity loss in affiliates, accretion of asset retirement obligations, employee benefit plans, deferred income taxes, non-cash loss on extinguishment of debt, non-cash loss on disposals, asset impairment and restructuring charges, and changes in net working capital.

Net cash used in operating activities for the three months ended March 31, 2018 was \$30.3 million and was primarily attributable to net income of \$56.9 million adjusted for depreciation, depletion and amortization of \$11.6 million, amortization of acquired intangibles, net of \$10.2 million, accretion of asset retirement obligations of \$2.5 million, and stock-based compensation of \$4.8 million, partially offset by a \$0.3 million gain on settlement of acquisition-related obligations. The change in our operating assets and liabilities of \$121.1 million was primarily attributed to increases in trade accounts receivable and inventories, net, and decreases in acquisition-related obligations and other non-current liabilities.

Net cash provided by operating activities for the three months ended March 31, 2017 was \$142.2 million and was primarily attributed to net income of \$35.1 million adjusted for depreciation, depletion and amortization of \$16.9 million, amortization of acquired intangibles, net of \$19.7 million, and non-cash loss on extinguishment of debt of \$13.7 million. The change in our operating assets and liabilities of \$48.9 million was primarily attributed to decreases in trade accounts receivable.

Investing Activities

Net cash used in investing activities for the three months ended March 31, 2018 was \$31.3 million, driven by capital expenditures of \$19.4 million and deposit paid on sale of property of \$10.0 million.

Net cash used in investing activities for the three months ended March 31, 2017 was \$27.1 million, driven by the purchase of additional ownership interest in equity affiliate of \$13.3 million, capital expenditures of \$12.9 million and capital contributions to equity affiliates of \$1.2 million, partially offset by proceeds from sale of property, plant and equipment of \$0.3 million.

Financing Activities

Net cash used in financing activities for the three months ended March 31, 2018 was \$6.3 million, primarily attributable to principal repayments of debt of \$1.0 million and common stock repurchases and related expenses of \$4.8 million.

Net cash provided by financing activities for the three months ended March 31, 2017 was \$3.5 million, primarily attributable to proceeds from borrowings on debt of \$396.0 million, partially offset by principal repayments of debt of \$356.5 million, debt extinguishment costs of \$25.0 million and debt issuance costs of \$10.4 million.

The major components of cash flows related to our discontinued operations are as follows:

	Three Months Ended March 31,	
	2018	2017
Depreciation, depletion and amortization	\$ —	\$ 8,082
Capital expenditures	\$ —	\$ 1,030
Other significant operating non-cash items related to discontinued operations:		
Accretion of asset retirement obligations	\$ —	\$ 3,022

Long-Term Debt

See Note 7 for disclosures on long-term debt.

Analysis of Material Debt Covenants

We were in compliance with all covenants under the Term Loan Credit Facility, as amended, and the Asset-Based Revolving Credit Agreement, as amended, as of March 31, 2018. A breach of the covenants in the Term Loan Credit Facility, as amended, and the Asset-Based Revolving Credit Agreement, as amended, could result in a default under the terms of the agreement and the respective lenders could elect to declare all amounts borrowed due and payable.

Pursuant to the Asset-Based Revolving Credit Agreement, as amended, during any Liquidity Period (capitalized terms as defined in the Asset-Based Revolving Credit Agreement, as amended), our Fixed Charge Coverage Ratio cannot be less than 1.00 to 1.00 as of the last day of any Test Period, commencing with the Test Period ended immediately preceding the commencement of such Liquidity Period. The Fixed Charge Coverage Ratio is calculated as (a) Consolidated EBITDA of the Company and its Restricted Subsidiaries for such period, minus nonfinanced Capital Expenditures (including Capital Expenditures financed with the proceeds of any Loans) paid or payable currently in cash by the Company or any of its Subsidiaries for such period to (b) the Fixed Charges of the Company and its Restricted Subsidiaries during such period. As of March 31, 2018, we were not in a Liquidity Period.

In the event that there shall be Excess Cash Flow for any fiscal year, pursuant to the Term Loan Credit Facility, as amended, we will, no later than 130 days after the end of such fiscal year, prepay the Term Loan Credit Facility, as amended, based on the Total Leverage Ratio as follows:

Total Leverage Ratio ⁽¹⁾	Prepayment Amount ⁽²⁾
Equal to or greater than 2.50	75% of Excess Cash Flow
Less than 2.50 and greater than or equal to 1.25	50% of Excess Cash Flow
Less than 1.25	25% of Excess Cash Flow

⁽¹⁾ Total Leverage Ratio is calculated as the ratio of (i) Consolidated Net Total Debt on such date to (ii) Consolidated EBITDA (capitalized terms as defined in the Term Loan Credit Facility, as amended) for the period of the four consecutive fiscal quarters ending as of the date of the financial statements most recently delivered.

⁽²⁾ % of Excess Cash Flow is reduced by voluntary repayments of the Term Loan Credit Facility, as amended, as defined within the Term Loan Credit Facility, as amended.

Excess Cash Flow is calculated in accordance with our Term Loan Credit Facility Credit Agreement, as amended, and is equal to (i) the sum, without duplication, of Consolidated Net Income, the amount of all non-cash charges, the amount of the decrease, if any, in Consolidated Working Capital and the amount of non-cash losses on the disposition of property to the extent deducted in arriving at Consolidated Net Income minus (ii) the sum, without duplication, of the amount of all non-cash credits included in arriving at Consolidated Net Income, certain capital expenditures, certain amounts of regularly scheduled principal payments of Indebtedness made in cash, the amount of the increase, if any, in Consolidated Working Capital and the aggregate amount of non-cash gains on the disposition of property to the extent included in arriving at Consolidated Net Income.

Consolidated Net Income is calculated in accordance with our Term Loan Credit Facility, as amended, and is equal to the net income determined in accordance with GAAP, excluding, without duplication, noncash compensation expenses related to common stock and other equity securities issued to employees, extraordinary and non-recurring gains and loss, income or losses from discontinued operations, any non-cash impairment charges or asset write-offs resulting from the application of certain ASC standards, net unrealized gains or losses resulting from non-cash foreign currency remeasurement gains or losses, net unrealized gains or losses results in such period from certain derivatives, non-cash charges including non-cash charges due to cumulative effects of changes in accounting principles, any net income or loss of any person that is not a restricted subsidiary or that is accounted for by equity method accounting except to the extent the dividends or similar distributions are paid in cash to the specified person or restricted subsidiary, the net income (but not loss) of any restricted subsidiary to the extent that the declaration or payment of dividends or similar distributions by that restricted subsidiary of that net income is not at the date of determination permitted without any prior governmental approval (that has not been obtained) or, directly or indirectly, by operation of the terms of its charter or any agreement, instrument, judgment, decree, order, statute, rule or governmental regulation applicable to that restricted subsidiary or its stockholders (other than any restriction that has been waived or released), plus, without duplication, any cash dividends and/or distributions actually received by the Company or restricted subsidiary from any restricted subsidiary and/or Joint venture to the extent not already included therein.

Additionally, under the Term Loan Credit Facility, as amended, our ability to engage in activities such as incurring additional indebtedness, making investments and paying dividends is also tied to certain financial ratios, including Consolidated EBITDA as defined per the Term Loan Credit Facility. Consolidated EBITDA is defined as EBITDA further adjusted to exclude certain non-cash items, non-recurring items, and other adjustments permitted in calculating covenant compliance under the Term Loan Credit Facility. EBITDA, a measure used by management to evaluate our ongoing operations for internal planning and forecasting purposes, is defined as net income (loss) from operations plus interest expense, income tax expense, amortization of acquired intangibles, net and depreciation, depletion and amortization, less interest income and income tax benefit. EBITDA is not a financial measure recognized under United States generally accepted accounting principles and does not purport to be an alternative to net income as a measure of operating performance or to cash flows from operating activities as a measure of liquidity. The amounts shown for EBITDA as presented may differ from amounts calculated and may not be comparable to other similarly titled measures used by other companies.

Consolidated EBITDA is calculated in accordance with our Term Loan Credit Facility, as amended, and is equal to Consolidated Net Income plus, without duplication (i) consolidated interest expense; (ii) to the extent deducted in computing such Consolidated Net Income, the sum of all income, franchise or similar taxes; (iii) depreciation, depletion, amortization (including, without limitation, amortization of intangibles, deferred financing fees and any amortization included in pension or other employee benefit expenses) and all other non-cash items reducing Consolidated Net Income (including, without limitation, write-downs and impairment of property, plant, equipment and intangibles and other long-lived assets and the impact of acquisition accounting) but excluding, in each case, non-cash charges in a period which reflect cash expenses paid or to be paid in another period); (iv) non-recurring restructuring costs, expenses and charges, including, without limitation, all business optimization costs and expenses, facility opening, pre-opening and closing and consolidation costs and expenses, advisory and professional fees and stay and retention bonuses; *provided* that the amount of non-recurring restructuring costs, expenses and charges permitted to be added back pursuant to this clause (iv) for a four-quarter period shall not exceed 20% of Consolidated EBITDA for such period (calculated before giving effect to such add-back); (v) any expenses, costs or charges related to any equity offering, Investment permitted, acquisition, disposition, recapitalization or Indebtedness permitted to be incurred by the indenture (whether or not successful); (vi) all non-recurring or unusual losses, charges and expenses (and less all non-recurring or unusual gains); (vii) all non-cash charges and expenses; (viii) any debt extinguishment costs; (ix) any amount of asset retirement obligations expenses; (x) all Transaction Costs incurred in connection with the Transactions contemplated hereby; (xi) transaction costs, fees and expenses incurred during such period in connection with any acquisition or disposition not prohibited hereunder or any issuance of debt or equity securities by the Borrower or any of its Restricted Subsidiaries, in each case, for such expenses; and (xii) commissions, premiums, discounts, fees or other charges relating to performance bonds, bid bonds, appeal bonds, surety bonds, reclamation and completion guarantees and other similar obligations; *provided* that, with respect to any Restricted Subsidiary, such items will be added only to the extent and in the same proportion that the relevant Restricted Subsidiary's net income was included in calculating Consolidated Net Income.

The calculation of Consolidated EBITDA is based on our results of operations in accordance with the Term Loan Credit Facility, as amended, and therefore, is different from Adjusted EBITDA presented elsewhere in this report. The calculation of Consolidated EBITDA for purposes of the Excess Cash Flow calculation is performed at the end of each fiscal year (commencing with the fiscal year ending December 31, 2017 for the portion of such fiscal year occurring after the Closing Date). For the fiscal year ending December 31, 2017, we had Excess Cash Flow as calculated per terms of the Term Loan Credit Facility, as amended, and we prepaid \$3.3 million of our Term Loan Credit Facility outstanding principal balance on May 9, 2018.

Acquisition-Related Obligations

See Note 8 for additional details and disclosures on acquisition-related obligations.

Off-Balance Sheet Arrangements

In the normal course of business, we are a party to certain off-balance sheet arrangements. These arrangements include guarantees, operating leases, indemnifications and financial instruments with off-balance sheet risk, such as bank letters of credit and performance or surety bonds. Obligations related to these arrangements are not reflected in our Condensed Consolidated Balance Sheet. However, the underlying liabilities that they secure, such as asset retirement obligations, workers' compensation liabilities, and royalty obligations, are reflected in our Condensed Consolidated Balance Sheet.

We are required to provide financial assurance in order to perform the post-mining reclamation required by our mining permits, pay our federal production royalties, pay workers' compensation claims under workers' compensation laws in various states, pay federal black lung benefits, and perform certain other obligations. In order to provide the required financial assurance, we generally use surety bonds for post-mining reclamation and workers' compensation obligations. We can also use bank letters of credit to collateralize certain obligations.

As of March 31, 2018, we had outstanding surety bonds with a total face amount of \$403.7 million to secure various obligations and commitments, including \$237.2 million related to the PRB. To secure our obligations under these bonds, we had cash collateral in the amounts of \$53.9 million and \$15.2 million classified as short-term and long-term restricted cash and short-term and long-term deposits, respectively, on our balance sheet as of March 31, 2018. Once the permits associated with the PRB Transaction have been transferred, the Company estimates approximately \$24.0 million comprised of short-term restricted cash and short-term deposits will be returned to operating cash.

As of March 31, 2018, we had real property collateralizing \$26.7 million of reclamation bonds.

We meet frequently with our surety providers and have discussions with certain providers regarding the extent of and the terms of their participation in the program. These discussions may cause us to shift surety bonds between providers or to alter the terms of their participation in our program. To the extent that surety bonds become unavailable or our surety bond providers require additional collateral, we would seek to secure our obligations with letters of credit, cash deposits or other suitable forms of collateral. Our failure to maintain, or inability to acquire, surety bonds or to provide a suitable alternative would have a material adverse effect on our liquidity. These failures could result from a variety of factors including lack of availability, higher cost or unfavorable market terms of new surety bonds, and the exercise by third-party surety bond issuers of their right to refuse to renew the surety.

Other

As a regular part of our business, we review opportunities for, and engage in discussions and negotiations concerning, the acquisition or disposition of coal mining and related infrastructure assets and interests in coal mining companies, and acquisitions or dispositions of, or combinations or other strategic transactions involving companies with coal mining or other energy assets. When we believe that these opportunities are consistent with our strategic plans and our acquisition or disposition criteria, we will make bids or proposals and/or enter into letters of intent and other similar agreements. These bids or proposals, which may be binding or non-binding, are customarily subject to a variety of conditions and usually permit us to terminate the discussions and any related agreement if, among other things, we are not satisfied with the results of due diligence. Any acquisition opportunities we pursue could materially affect our liquidity and capital resources and may require us to incur indebtedness, seek equity capital or both. There can be no assurance that additional financing will be available on terms acceptable to us, or at all.

Contractual Obligations

The following is a summary of our significant contractual obligations as of March 31, 2018:

<i>(in thousands)</i>	2018	2019	2020	2021	2022	After 2022	Total
Long-term debt ⁽¹⁾	\$ 6,323	\$ 4,000	\$ 4,000	\$ 4,000	\$ 4,000	\$ 363,677	\$ 386,000
Other debt ⁽²⁾	2,959	339	65	55	4	—	3,422
Acquisition-related obligations ⁽³⁾	11,000	14,500	15,000	2,000	—	—	42,500
Equipment purchase commitments	30,713	1,351	—	—	—	—	32,064
Transportation commitments	2,256	3,072	3,102	—	—	—	8,430
Operating leases	671	788	747	737	182	326	3,451
Minimum royalties	994	1,121	1,044	1,044	697	909	5,809
Coal purchase commitments ⁽⁴⁾	509,499	106,140	1,595	—	—	—	617,234
Other ⁽⁵⁾	2,722	—	—	—	—	—	2,722
Total	<u>\$ 567,137</u>	<u>\$ 131,311</u>	<u>\$ 25,553</u>	<u>\$ 7,836</u>	<u>\$ 4,883</u>	<u>\$ 364,912</u>	<u>\$ 1,101,632</u>

⁽¹⁾ Long-term debt includes principal amounts due in the years shown. Cash interest payable on this obligation, with an interest rate of 6.88%, would be approximately \$20,084 in 2018, \$26,379 in 2019, \$26,171 in 2020, \$25,820 in 2021, \$25,542 in 2022, and \$30,555 after 2022.

⁽²⁾ Includes capital lease obligation principal amounts of \$195 in 2018, \$179 in 2019, \$65 in 2020, \$55 in 2021, and \$4 in 2022. Cash interest payable on these obligations with interest rates ranging between 5.20% and 9.50%, would be approximately \$29 in 2018, \$17 in 2019, \$5 in 2020, and \$2 in 2021. Other debt includes principal amounts of \$2,764 in 2018 and \$160 in 2019. Cash interest payable on these obligations, with an interest rate of 4.49%, would be approximately \$32 in 2018.

⁽³⁾ Certain guarantees are excluded from the table above, for which the timing of payments are not estimable. See Note 8 for further disclosures related to these guarantees.

⁽⁴⁾ Includes an estimated \$76,560 in 2018 and \$85,840 in 2019 related to contractually committed variable priced tons from vendors with historical performance resulting in less than 20% of the committed tonnage being delivered.

⁽⁵⁾ Amount represents personal property and real estate taxes assumed pursuant to the bankruptcy settlement.

Additionally, we have long-term liabilities relating to asset retirement obligations, black lung benefits, life insurance benefits, and workers' compensation benefits. The table below reflects the estimated undiscounted cash flows for these obligations:

<i>(in thousands)</i>	2018	2019	2020	2021	2022	After 2022	Total
Asset retirement obligation	\$ 7,322	\$ 5,899	\$ 12,893	\$ 11,476	\$ 10,726	\$ 209,919	\$ 258,235
Black lung benefit obligation	152	13	13	13	103	46,768	47,062
Life insurance benefit obligation	626	750	698	685	676	17,506	20,941
Workers' compensation benefit obligation	3,548	3,501	2,378	1,851	1,487	9,525	22,290
Total	<u>\$ 11,648</u>	<u>\$ 10,163</u>	<u>\$ 15,982</u>	<u>\$ 14,025</u>	<u>\$ 12,992</u>	<u>\$ 283,718</u>	<u>\$ 348,528</u>

We expect to spend between \$64 million and \$74 million on capital expenditures during 2018.

Critical Accounting Policies and Estimates

The preparation of financial statements in accordance with GAAP requires management to make estimates and assumptions that affect reported amounts of assets, liabilities, revenues and expenses, and related disclosure of contingent assets and liabilities. We base our estimates on historical experience and on various other factors and assumptions, including the current economic environment that we believe are reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. We evaluate our estimates and assumptions on an ongoing basis and adjust such estimates and assumptions as facts and circumstances require. Foreign currency and energy markets, and fluctuations in demand for steel products have combined to increase the uncertainty inherent in such estimates and assumptions. As future events and their effects cannot be determined

with precision, actual results may differ significantly from these estimates. Changes in these estimates resulting from continuing changes in the economic environment will be reflected in the financial statements in future periods.

Business Combinations. We account for our business combinations under the acquisition method of accounting. The total cost of acquisitions is allocated to the underlying identifiable net tangible and intangible assets based on their respective estimated fair values. Determining the fair value of assets acquired and liabilities assumed requires management's judgment, the utilization of independent valuation experts and often involves the use of significant estimates and assumptions with respect to the timing and amounts of future cash inflows and outflows, discount rates, market prices and asset lives, among other items.

Reclamation. Our asset retirement obligations arise from the federal Surface Mining Control and Reclamation Act of 1977 and similar state statutes, which require that mine property be restored in accordance with specified standards and an approved reclamation plan. Significant reclamation activities include reclaiming refuse and slurry ponds, reclaiming the pit and support acreage at surface mines, sealing portals at deep mines and the treatment of water. We determine the future cash flows necessary to satisfy our reclamation obligations on a permit-by-permit basis based upon current permit requirements and various estimates and assumptions, including estimates of disturbed acreage, cost estimates, and assumptions regarding productivity. We are also faced with increasingly stringent environmental regulation, much of which is beyond our control, which could increase our costs and materially increase our asset retirement obligations. Estimates of disturbed acreage are determined based on approved mining plans and related engineering data. Cost estimates are based upon third-party costs. Productivity assumptions are based on historical experience with the equipment that is expected to be utilized in the reclamation activities. Our asset retirement obligations are initially recorded at fair value. In order to determine fair value, we use assumptions including a discount rate and third-party margin. Each is discussed further below:

- *Discount Rate.* Asset retirement obligations are initially recorded at fair value. We utilize discounted cash flow techniques to estimate the fair value of our obligations. We base our discount rate on the rates of treasury bonds with maturities similar to expected mine lives and adjust for our credit standing as necessary after considering funding and assurance provisions. Changes in our credit standing could have a material impact on our asset retirement obligations.
- *Third-Party Margin.* The measurement of an obligation at fair value is based upon the amount a third-party would demand to perform the obligation. Because we plan to perform a significant amount of the reclamation activities with internal resources, a third-party margin was added to the estimated costs of these activities. This margin was estimated based upon our historical experience with contractors performing similar types of reclamation activities. The inclusion of this margin will result in a recorded obligation that is greater than our estimates of our cost to perform the reclamation activities. If our cost estimates are accurate, the excess of the recorded obligation over the cost incurred to perform the work will be recorded as a gain at the time that reclamation work is completed.

On at least an annual basis, we review our reclamation liabilities and make necessary adjustments for permit changes as granted by state authorities, additional costs resulting from accelerated mine closures, and revisions to cost estimates and productivity assumptions, to reflect current experience and updated plans. At March 31, 2018, we had recorded asset retirement obligation liabilities of \$60.3 million, including amounts reported as current, and \$28.0 million asset retirement obligations liabilities classified as held for sale. While the precise amount of these future costs cannot be determined with certainty, as of March 31, 2018, we estimate that the aggregate undiscounted cost of final mine closures is approximately \$258.2 million.

Income Taxes. We recognize deferred tax assets and liabilities using enacted tax rates for the effect of temporary differences between the book and tax bases of recorded assets and liabilities. Deferred tax assets are reduced by a valuation allowance if it is more likely than not that some portion or all of the deferred tax assets will not be realized. In evaluating our ability to recover our deferred tax assets within the jurisdiction in which they arise, we consider all available positive and negative evidence, including the expected reversals of deferred tax liabilities, projected future taxable income, taxable income available via carryback to prior years, tax planning strategies, and results of recent operations. We assess the realizability of our deferred tax assets, including scheduling the reversal of our deferred tax assets and liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. We believe the deferred tax liabilities relied upon as future taxable income in our assessment will reverse in the same period and jurisdiction and are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized. Due to our formation through the acquisition of the core coal assets of Alpha as part of the Alpha Restructuring, a lack of history of operating results, and ownership change limitations applicable to net operating loss and other carryforwards, a full valuation allowance is currently recorded against the net deferred tax assets, excluding the alternative minimum tax credit carryforwards ("AMT Credits"), of ours.

Asset Impairment. U.S. GAAP requires that a long-lived asset group that is held and used should be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of the long-lived asset group might

not be recoverable. Testing long-lived assets for impairment after indicators of impairment have been identified is a two-step process. Step one compares the net undiscounted cash flows of an asset group to its carrying value. If the carrying value of an asset group exceeds the net undiscounted cash flows of that asset group, step two is performed whereby the fair value of the asset group is estimated and compared to its carrying amount. The amount of impairment, if any, is equal to the excess of the carrying value of an asset group over its estimated fair value. The amount of impairment, if any, is allocated to the long-lived assets on a pro-rata basis, except that the carrying value of the individual long-lived assets are not reduced below their estimated fair value. Long-lived assets located in a close geographic area are grouped together for purposes of impairment testing when, after considering revenue and cost interdependencies, circumstances indicate the assets are used together to produce future cash flows. Our asset groups generally consist of the assets and applicable liabilities of one or more mines and preparation plants and associated coal reserves for which cash flows are largely independent of cash flows of other mines, preparation plants and associated reserves.

Acquisition-Related Obligations. We entered into various settlement agreements with Alpha and/or the Alpha bankruptcy successor ANR and third parties as part of the Alpha Restructuring. We assumed acquisition-related obligations through those settlement agreements which became effective on July 26, 2016, the effective date of Alpha's plan of reorganization. These acquisition-related obligations include financial instruments which were fair valued on a recurring basis until their settlement in the fourth quarter of 2017. Observable transactions were not available to aid in determining the fair value. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows were discounted using a risk-free interest rate adjusted for market risk. See Note 8 and Note 10 for disclosures related to acquisition-related obligations.

New Accounting Pronouncements. See Note 1 for disclosures related to new accounting policies adopted.

Quantitative and Qualitative Disclosures about Market Risk

Commodity Price Risk

We manage our commodity price risk for coal sales through the use of coal supply agreements. As of May 8, 2018 (with the exception of the removal of FirstEnergy Generation, LLC tons effective May 18, 2018), we had sales commitments for approximately 6.3 million tons of NAPP coal for 2018, 96% of which is priced, and 3.2 million tons of CAPP coal for 2018, 61% of which is priced.

We have exposure to price risk for supplies that are used directly or indirectly in the normal course of production such as diesel fuel, steel and other items such as explosives. We manage our risk for these items through strategic sourcing contracts in normal quantities with our suppliers and may use derivative instruments in the future from time to time, primarily swap contracts with financial institutions, for a certain percentage of our monthly requirements. Swap agreements would essentially fix the price paid for our diesel fuel by requiring us to pay a fixed price and receive a floating price.

We expect to use approximately 4.6 million and 5.8 million gallons of diesel fuel in the remainder of 2018 and 2019, respectively.

Credit Risk

Our credit risk is primarily with electric power generators and steel producers. Our policy is to independently evaluate each customer's creditworthiness prior to entering into transactions and to monitor outstanding accounts receivable against established credit limits. When appropriate (as determined by our credit management function), we have taken steps to reduce our credit exposure to customers that do not meet our credit standards or whose credit has deteriorated. These steps include obtaining letters of credit or cash collateral, obtaining credit insurance, requiring prepayments for shipments or establishing customer trust accounts held for our benefit in the event of a failure to pay.

Interest Rate Risk

We have exposure to changes in interest rates through our Asset-Based Revolving Credit Agreement, which bears interest based on the character of the loan (defined as either "Base Rate Loan" or "Eurocurrency Rate Loan") plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit available. As of March 31, 2018, the Company had no borrowings under the Asset-Based Term Loan Credit Agreement.

We also have exposure to changes in interest rates through our Term Loan Credit Facility, which bears an interest rate per annum based on the character of the loan (defined as either "Base Rate Loan" or "Eurocurrency Rate Loan") plus an applicable

rate of 4.00% to 5.00% depending on loan type (the “Applicable Rate”), payable bi-monthly in arrears. As of March 31, 2018, a 50 basis point increase or decrease in interest rates would increase or decrease our annual interest expense by approximately \$1.8 million.

Controls and Procedures

As we are a private company, we are not required to implement, maintain and evaluate, on a formal basis, internal control over either disclosures or financial reporting. However, our management team continues to develop and refine processes designed to ensure that information disclosed by us is appropriately recorded, processed, summarized and issued. Even when fully completed, there are inherent limitations to the effectiveness of any system of controls and procedures, including the possibility of human error and the circumvention or overriding of the controls and procedures. Accordingly, even effective controls and procedures can only provide reasonable assurance of achieving their control objectives.

In addition, we have established a Code of Business Ethics designed to provide a statement of the values and ethical standards to which we require our employees and directors to adhere. The Code of Business Ethics provides the framework for maintaining the highest possible standards of professional conduct. We also maintain a process allowing employees, vendors and others to report anonymously violations of the Code of Ethics or other matters.